PHILIPPINE ARMY MANUAL 5-0104

PHILIPPINE ARMY RISK MANAGEMENT

Proponent: Army Governance and Strategy Management Office
Promulgated: 15 July 2021

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Philippine Army Manual 5-0104 (PAM 5-0104) is promulgated on 15 July 2021 by the authority of the Commanding General, Philippine Army



MGEN ANDRES C CENTINO PA
Commanding General, Philippine Army

Preface

1. This manual provides the fundamental concepts of risk management in the Philippine Army. It contains fundamental concepts related to the risk management system such as identification, assessment, and evaluation of risk as it seeks to serve as a pillar manual of the emerging subtopics.

2. This also seeks to guide the risk management practitioners of the Philippine Army, specifically the officers and personnel of Army Governance and Strategy Management Office, Governance Strategy Management Offices, Army Strategic Management Committee, ATR Action Officers, ATR Technical Working Group, Unit Commanders, and Chiefs of offices.

3. The proponent of this manual is the Army Governance and Strategy Management Office. However, Doctrine and Capability Integration Center (P), Training and Doctrine Command, Philippine Army is responsible for the review and updating of this publication. Send comments or recommendations to the Commander, TRADOC, PA at Camp O'Donnell, Capas, Tarlac (Attn: Director, DACIC (P)) or via email at dcannex45@gmail.com and via website at doctrinecenterpa.com. Feedbacks to this publication are also welcome telephonically via the Bonifacio Telephone Exchange trunk line number 845-9555 or military local line number 7650 extension 4971.

4. All publications, manuals, and directives inconsistent with this manual are hereby rescinded.

5. Unless this publication state otherwise, masculine nouns and pronouns do not refer exclusively men.

Content **Page**

Chapter I – Background 1
The ATR as Forerunner to Risk Management 1
Risk Management in the Philippine Army 4
Chapter II – Value Proposition 6
Purpose of Risk Management 6
Value to the Army 7
Chapter III – Philippine Army Risk Management Process 10
Communication and Consultation 12
Establish the Context 16
Risk Assessment 23
Risk Treatment 32
Monitor and Review 39
Recording and Reporting 40
Chapter IV – Risk Management in Planning Considerations 41
Levels of Risk Management 41
Risk Management in Troop Leading Procedure 44
Risk Management in Military Decision-Making Process 46
Chapter V – Risk Management Application 49
Strategic Objectives and Programs 49
Basic Occupational Safety and Health 51
Army Operations 52
Disaster Risk Reduction and Management 54
Chapter VI – Sustaining Philippine Army Risk Management 58
Measures for Sustainment 58
Risk Management Review Procedure 60
Annexes
Annex A – Risk Dictionary 62
Annex B – Risk Portfolio 65
Annex C – Risk Identification Techniques 67
Annex D – Introduction to ISO 31000 and COSO 70
Glossary 76
Abbreviation and Acronym list 79
References 81
Figure List
Figure 1.1 – Army Governance Pathway 3
Figure 1.2 – ISO 31000 RM Process, s.2009 4
Figure 1.3 – Philippine Army Risk Management Framework 5
Figure 1.4 – Palladium Balanced Scorecard-Hall of Fame Award 5
Figure 3.1 – PA Strategy Execution Management Process 10
Figure 3.2 – PARM Concept 11
Figure 3.3 – PARM Process 11
Figure 3.4 – Step 1, PARM Process 12
Figure 3.5 – Power and Interest Grid 13
Figure 3.6 – Selection of engagement approach examples 15
Figure 3.7 – Example (PA Stakeholder Analysis and Mapping) 15
Figure 3.8 – PA Stakeholder Mapping 16
Figure 3.9 – Step 2, PARM Process. 16
Figure 3.10 – PESTELM Analysis Table 17

Figure 3.11 – Example (PA PESTELM Analysis) 19
Figure 3.12 – Example (PA PESTELM Analysis) 20
Figure 3.13 – McKinsey's 7S model 20
Figure 3.14 – Example (PA McKinsey's 7S Model) 22
Figure 3.15 – Step 3, PARM Process. 23
Figure 3.16 – COSO Model on Leading Indicators of Risk Event 25
Figure 3.17 – Example (Risk Identification) 26
Figure 3.18 – Approaches to Risk Analysis 27
Figure 3.19 – Probability and Impact Matrix Rating 27
Figure 3.20 – Impact and Probability Rating Guide 28
Figure 3.21 – Example (Risk Analysis) 28
Figure 3.22 – Risk Heat Map. 30
Figure 3.23 – Ranking Criteria 30
Figure 3.24 – Risk Appetite Model 31
Figure 3.25 – Risk Appetite Curve 31
Figure 3.26 – Risk Assessment Table with Risk Evaluation Data 32
Figure 3.27 – Step 4, PARM Process 32
Figure 3.28 – Risk Treatment Process 33
Figure 3.29 – Risk Response Strategy 34
Figure 3.30 – Risk Heat Map and Response 34
Figure 3.31 – Definition of Actions per Response 35
Figure 3.32 – Risk Management Table with Treatment Data 37
Figure 3.33 – Risk Treatment Plan Template 38
Figure 3.34 – Risk Profile Template 39
Figure 3.35 – Step 5, PARM Process 39
Figure 3.36 – Step 6, PARM Process 40
Figure 4.1 – Strategic Objectives Risk Identification Example 42
Figure 4.2 – Operational Level Risk assessment and ISO 31000 42
Figure 4.3 – Tactical Level Risk assessment and ISO 31000 43
Figure 6.1 – Broadleaf Capital Risk management Review Procedure 61

Table list

Table 3.1 – Hard and Soft Elements of the McKinsey's 7S Model 21
Table 4.1 – Troop leading Procedure correlated with Risk Management Steps . . 45
Table 4.2 – MDMP Steps Correlated with Risk Management Steps 46

Chapter I
Background

0101. The Armed Force of the Philippines (AFP), in the past decades, faced several challenges on allegation of corruption, military adventurism, and human rights abuses, among others. These issues have undermined the credibility of the military institution to fully perform its constitutional mandate. The AFP saw the need for reforms that would address systemic problems and institutionalize good governance in the organization.

0102. In like manner, the Philippine Army (PA) plagued with allegations defacing its reputation, has been embarking on a journey of self-improvement since 2010. This journey, called the Army Transformation Roadmap or ATR, is anchored on Harvard's Doctor Kaplan and Norton's Performance Governance System. Said system was introduced by the Institute for Solidarity in Asia (ISA) and was deeply rooted on good governance as the key to a real transformation for an organization. For this to materialize, the Philippine Army crafted a strategy management system that will encapsulate a philosophy geared towards its vision of becoming a world-class Army that is a source of national pride.

0103. A strategy management system is a process that integrates the planning and execution of a strategy in pursuit of the organizational mission. On the other hand, philosophy is defined as a way of life that relates to one's existence. In combining both, the Philippine Army developed the strategy management philosophy (SMP) and captured not only the process of crafting and executing a strategy but making it a driving force of its existence. Through the years of application of the SMP, it has guided the organization in attaining recognition in its quest to perform its mandate. It is rooted in the idea that every action, task, and undertaking is made with the desired end state in mind.

The Army Transformation Roadmap as forerunner to Risk Management

0104. As the Philippine Army undertakes its case for change, it relies on the SMP as the core ideology behind its conception and implementation. The SMP has three basic principles:

a. It is **concept-led**, through the Landpower Maneuver Concept

b. It is **process driven** as outlined in its execution tools and procedures

c. It is **systems integrated**, through the Philippine Army Strategic Management System

0105. Strategy Management Philosophy as concept-led in the context of the Philippine Army's Landpower Maneuver Concept (LMC). The LMC stands as the Army's Land Defense Strategy, a concept to execute its task in securing sovereignty as

part of the Joint Force. It outlines the necessary elements to enhance Landpower to address future threats. It contains four complementing and mutually supporting elements and eight enabling concepts. The LMC is the framework that guides the Army on how to address future threats regardless of the security environment or the various form they may take. Through it, the PA stays true to its mandate and becomes more equipped in serving the people and securing the land.

0106. Strategy Management as process driven is embodied through the employment of three tools, namely;

a. The Army Governance Pathway (AGP) as its banner. The AGP measures and monitors the progress of the organization in its attainment of strategic targets. It also communicates what the organization has achieved as well as the goals that are yet to be attained.

b. The second tool is the Functions, Resources, Expectations, and Messages or FREM mechanism. These mechanisms contribute to the attainment of organizational alignment for proper execution of strategy.

c. The PA's Scorecard Execution Management Process (SEMP), as driver. The last tool that drives the process of the Army's Strategy is anchored on the Performance Governance System (PGS) that is the Philippine adaptation of the Kaplan and Norton's Balanced Scorecard. The SEMP can be delineated into horizontal and vertical process. The horizontal level is done by the command, unit, and office, while the vertical level is a guide for the staff or sub-units. The stages of the horizontal level mirrors that of the vertical level and starts with understanding the ATR.

0107. Strategy Management as Systems integrated is encapsulated in the Philippine Army Strategy Management System (PA SMS). The PA SMS, like the AFP Strategic Management System, is an overarching framework that synchronizes various PA processes into a coherent system that streamlines how the organization develops its strategy, links this to its budget, and consequently execute different programs and activities as well as assess results to formulate an informed input for the next planning cycle.

0108. As an organization fully committed to pursuing excellence in serving the people and meet the public's expectations, the PA decided to move forward with its transformation journey guided by the SMP with a vision of becoming a world-class Army that is a source of national pride. The ATR is a long-term strategic program that synchronizes all systems and processes in pursuing genuine transformation founded on good governance and excellence.

0109. The process involves three key foundations namely:

a. Governance Charter Identification

b. Strategy Map Formulation

c. Governance Scorecard Development

0110. The process of attaining the measures and targets for every strategic objective identified is encapsulated in the strategy execution management process (SEMP). The SEMP virtually runs the whole ATR strategy. programs and strategy review, as part of the SEMP, provides for the monitoring and oversight of the progress of the ATR execution. Moreover, as a result of adaptation of the performance governance system (PGS), the Army governance pathway (AGP) was established. The PGS has four stages, namely: Initiated, Compliant, Proficient and Institutionalized. It was from here that the AGP was patterned with a slight improvement.

0111. The AGP is a process consisting of five stages:

a. Initiated

b. Compliant

c. Proficient

d. Institutionalized

e. Re-Certification after 2 years

0112. If the unit or office fails in its re-certification bid it will be downgraded to Proficient status while if it passed, it would retain its Institutionalized Status.

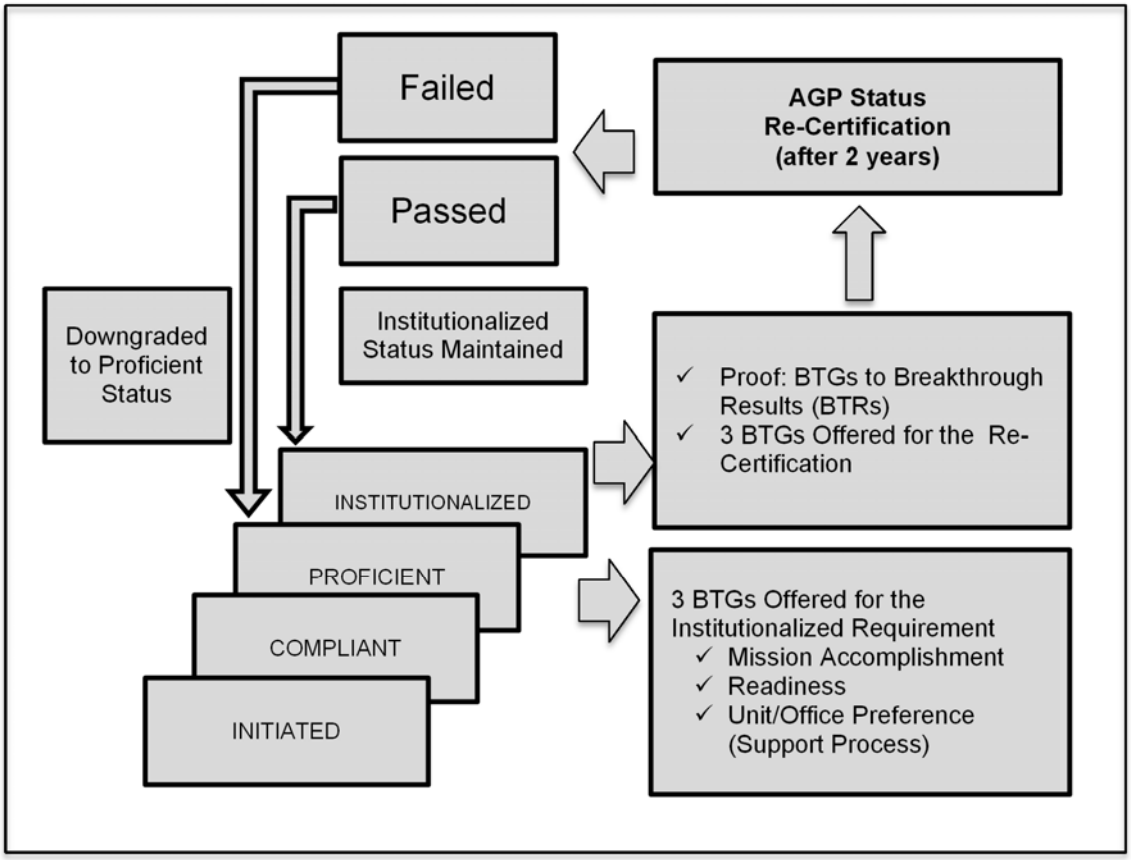


Figure 1.1 – Army Governance Pathway

Risk Management in the Philippine Army

0113. The Philippine Army Risk Management (PARM) as an integral part of the strategy execution management process for the ATR. PARM provides a reasonable assurance towards the attainment of strategic objectives. Moreover, the realization of a risk-aware culture across the organization will ensure that constant attention on prevention of issues is practiced along the course of strategy execution.

0114. In 2017, the PA prepared to apply for the palladium balanced scorecard (BSC) hall of fame (HOF). As part of the Palladium application, the Army reviewed the requirements and conducted a self-assessment on the breakthrough results of the organization on several hallmarks and elements as provided for when executing the execution premium process (XPP) of the Kaplan and Norton strategy execution framework. It was found out that the weakest link, among others is Risk Management.

0115. In response to this, the PA conducted a series of initiatives headed by the Army Governance and Strategy Management Office (AGSMO) in partnership with the Institute for Solidarity Asia (ISA) and the Institute of Internal Auditors-Philippines (IIA-P) that would develop a risk management framework and jumpstart the development and implementation of the said PARM.

0116. In pursuit of the PA's continuous transformation and improvement, series of activities were conducted in develop the PA risk management framework. A framework that looks at the future and was modelled from ISO 31000:2009. It comprises three main areas of strategic assessment, risk assessment and risk treatment in a cyclic loop. Similarly, the PARM concept was developed to provide better understanding of how risks affect the strategic objectives and PARM's role to achieve a better outcome.

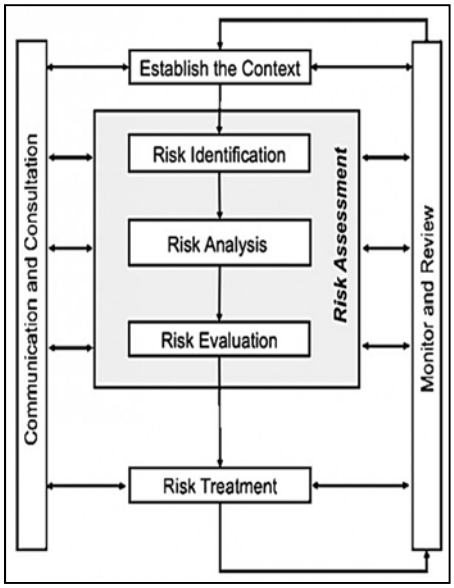


Figure 1-2– ISO 31000 Risk Management Process, s. 2009

0117. In addition, the 2018 PARM framework is essential to the enhancement of the current PA SMS, to include the enhancement of internal controls, and strengthen the organization's internal audit process. The framework seeks to guide the identification

of risks, assess and prioritize the identified risks, detect corresponding key risks indicators (KRIs) and treat and monitor the response applied.

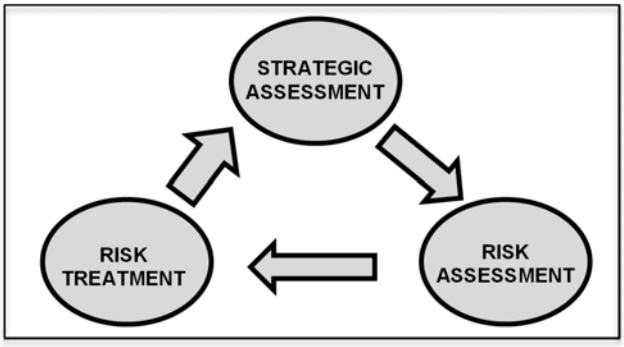


Figure 1.3 – Philippine Army Risk Management Framework

0118. After hurdling the initial screening of the Palladium Group, the organization was subjected to an on-site evaluation. The said undertaking involved a series of interviews, informal focus group discussions and document reviews. Then on 13 February 2018, the PA received notice from the Palladium Group that it has been admitted to the Palladium Balanced Scorecard Hall of Fame for Executing Strategy. However, as what the findings and recommendations stated, there is a need to develop the PARM strategy to support the strategy management execution process. This is due to the status of risk management in the organization; that is, although an PARM framework has already been developed, piloting, scaling and its cascading are yet to commence.



Figure 1.4 – Palladium Balanced Scorecard-Hall of Fame Award

0119. Therefore, the operationalization of risk management in the PA was recommended as it will help the organization ensure the attainment of its strategic objectives outlined in the Army strategy map. In 2019, AGSMO conducted further research and study to develop and strengthen Enterprise Risk Management. As a result of those initiatives, the AGSMO came up with the PARM Process, and the PA Risk Management Concept incorporating the Committee on Sponsoring Organizations of the Threadway Commission (COSO) risk management into the framework. Furthermore, the PARM Policy was also approved in 2020.

Chapter II
Value Proposition

0201. The Institute of Internal Auditors - Philippines (IIA-P) states that RM is a process for managing risks applied across the enterprise, designed to increase the likelihood of achieving objectives through the improved identification of threats, and effective allocation and use of resources for risk treatment.

0202. Moreover, the 2006 Risk Management Guide of the US Department of Defense also states that risk management is an overarching process that encompasses identification, analysis, mitigation, and monitoring of risks. It involves the application of resources to mitigate potential risks (root causes) and their consequences (effects). Hence, risk management is a continuous process applied throughout the life cycle of a certain program implemented by the program managers or organization (enterprise) board members and staffs to ensure successful risk reduction and attainment of the program objectives.

0203. RM is hereto defined as the process implemented by any organization regardless of its size, activity or sector through its officers, management staffs, and other personnel with the intent to identify and manage potential risks that may affect the organization in order to effectively allocate and use resources for risk treatment to increase the likelihood and provide reasonable assurance of achieving its objectives.

Purpose of Risk Management

0204. According to the Risk Practitioners Guide to ISO 31000 - 2018, a management system is a set of policies, processes, and procedures undertaken by an organization or enterprise to ascertain its capability to achieve the tasks required to accomplish its objectives. These objectives cover a wide area within the organization including aspects of strategy, policy, people, tactics, operations, deliverables, and compliance. Incorporating these sets of management systems allows the organization to improve the quality and consistency of its products and services.

0205. Formalized management systems are of great importance for large organizations such as the Philippine Army. They provide defined and documented processes that would look into internal processes of the organization. This gives room for areas of improvement as it also allows the auditing of the processes. Formalized processes such as published standards like ISO 31000 are keys in the development of an organization’s management systems.

0206. The current global dynamics have exposed organizations to increasing volatility, uncertainty, complexity, and ambiguity (VUCA). In the ever-increasing number of risks that present-day organizations face, board members and staffs must be ready to adapt the rapid and unexpected changes. Those who run the organization must think strategically to address the VUCA dimensions that affect their organization. Even the success of their enterprise can bring the risk of unexpected high demand or

inconsistency in quality brought by the increase in volume of services and demand. This could create a strain in the organization as it struggles to maintain its momentum.

0207. Undeniably, the PA must be more mindful of its position to avoid situations where unexpected events cause financial losses, disruption to normal operations, damage to reputation, and loss of stakeholder support. Present day stakeholders expect that organizations such as the Philippine Army will take full responsibility of the risks that result to non-compliance of statutory obligations, legal laws, office policies, disruption, and inefficiency within operations, late delivery of projects and products, or failure to achieved goals set in their strategy. It is notable that for the moment, third party surveys put the PA Net Trust Rating at +79 and Net Satisfaction Rating at +75. These results show the organization enjoying an excellent nationwide rating. The data is further validated by findings from the 2019 Executive Outlook Survey of the Makati Business Club where the AFP in general was hailed as one of the top ten performing agencies with an outstanding 78.7% satisfaction rating. The AFP is the only non-economic organization to acquire such results. However, in such successes lies the challenge of sustainability.

0208. Risks can be associated with all aspects of a program and can cause variations, either positive or negative, in its outcome. Risk Management can help address potential negative variations by mitigating future potential root causes.

Value to the Army

0209. As an organization with a deep commitment in its core purpose, the PA provides premium value to the public's trust and satisfaction of its services. The PA is determined to ensure that its core values of Honor, Patriotism, and Duty are embedded in all its undertakings and attainment of its vision to become a world-class Army and source of national pride. Hence, recognizing the importance of risk management as a mechanism to reduce the likelihood of negative outcomes and conversely provide greater chances of positive outcomes, the organization resolves to integrate the operationalization of PARM in its strategy execution process.

0210. PARM provides an added value when used in conjunction with an existing strategy. It could ensure greater chances of achieving the organization's goal by anticipating probable risks to the plan and preparing responses to address such risks, thus making the strategy responsive, adaptable, and resilient. It functions as an oversight mechanism encompassing an internal control and awareness to the different factors that may affect performance. Therefore, risk management is a value-added tool in strategy management that could help avert potential losses, damages, setbacks and increase the chances of success by improving approaches on managing risks to meet the demands of an evolving environment.

0211. In this context, the PA realized by now that applying PARM has actual benefits of enriching the strategy by considering alternative courses of actions should conditions change and be able to optimize performance of its Strategy Execution. In relation to this, if the PA strategy execution for base camp 2022 were to be subjected to an ERM, it could be assured of a better outcome at the end of the 2022 basecamp. Starting with a strategic assessment, the process will generate the identification risks though a risk assessment utilizing ISO 31000 as reference. By applying the COSO model for risk

treatment, we can evaluate each risk to create specific treatment and responses. The process of ERM would undeniably be an invaluable tool to ensure strategy success.

0212. The implementation of risk management should not be considered as a totally different endeavor but as a key component of strategy management. Risk management runs parallel to strategy management in all aspects of strategy execution. While PARM addresses internal controls, it also addresses other topics such as strategy setting governance, communicating with stakeholders, and measuring performance. Its principles apply at all levels of the organization and across all functions. It is a system of monitoring, learning, and improving performance.

0213. Indeed, the merits of RM in the PA as a value-laden addition to the SEMP is well established. However, risk management is more than just a function of an office; rather it is a culture that must be ingrained within the organization. It should carry a deeper and broader meaning in the capabilities and practices that the organization carry out and integrated in their strategy with a purpose of managing risks and creating opportunities.

0214. RM, as it has typically been practiced, has helped many organizations identify, assess, and manage risks to the strategy. But the most significant causes of value destruction are embedded in the possibility of the strategy not supporting the entity's mission and vision. PARM enhances strategy selection. Choosing a strategy calls for structured decision-making that analyzes risk and aligns resources with the mission and vision of the organization. Risk management is most effective if fully integrated into the systems and program management processes and has a life cycle throughout the system. When properly implemented, it can help set and achieve realistic costs, schedules, and performance objectives.

0215. There is no doubt that organizations will continue to face a future full of VUCA. RM will be an important part of how an organization manages and prospers through these times. Regardless of the type and size of an entity, strategies need to stay true to their mission. And all entities need to exhibit traits that drive an effective response to change, including agile decision-making, the ability to respond in a cohesive manner, and the adaptive capacity to pivot and reposition while maintaining high levels of trust among stakeholders.

0216. RM's value to the PA's role as a force provider is even more pronounced in conjunction with its vision of becoming a world-class Army that is a source of national pride. In this context, the need to continually develop the capability of forces is imperative. As emphasized in the PA's operating concept, the proper force mix and employment of capabilities is central to the Army's fighting capability. PA is gaining headway with its continuous efforts in modernizing the force with the development and acquisition of modern equipment and other organization developments that would enable it to perform and respond to emerging and future threats.

0217. As a force provider, it is imperative for the PA to develop its capability in the different areas of combined arms operations that entails maneuver and maneuver support capabilities. The development of doctrines, organizational build-up, conduct of training, and procurement of the equipment and material needed to achieve its desired warfighting competency are vulnerable to different risks. It is therefore critical for the

organization to apply risk management process in all its force provider functional areas with more responsive systems and processes. This is to ensure that strategic plans and programs can keep pace and manage the rapid changes in the operational environment. RM would enable to PA to continuously improve initiatives, sustain its thrust, and monitor potential risks to its development and modernization programs.

0218. RM provides an added tool in the planning, integrating, synchronizing, and employment of resources to achieve program success. The application of risk management at all levels and the process would provide decision makers with better operational picture necessary in the planning and execution of modernization projects.

Chapter III
Philippine Army Risk Management Process

0301. All organizations need to set a strategy to achieve its objectives as stated in the COSO-ERM reference of 2017. This strategy should be periodically assessed and adjusted to remain responsive and relevant. This is done by continuously being aware of the ever-changing situation. Increase in VUCA in our operating environment that can either threaten or create opportunities for the organization. To get the best possible outcome, the organization needs to subject its strategy to a process of assessment in order to identify challenges and opportunities. For the Philippine Army, the strategy execution management process (SEMP) provides guidance on its strategy execution. The process is composed of two management processes: Strategy Management and Risk Management.

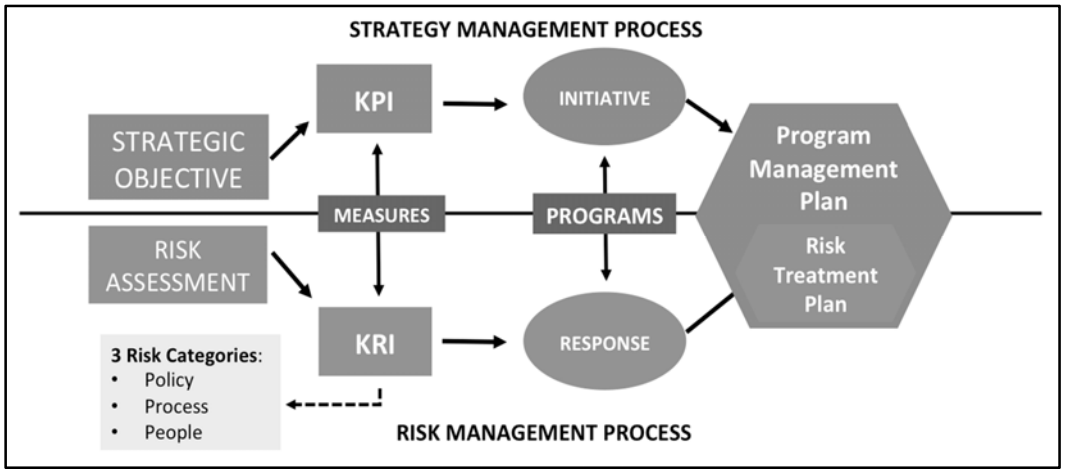


Figure 3.1 – PA Strategy Execution Management Process

0302. The operationalization of RM will help the organization ensure the attainment of its strategic objectives outlined in its Army strategy map. The proposition came when the Army drew on what the evaluator from the palladium group had recommended-more on identifying strategic risks than to compliance and operational risks, measuring risk in terms of key risk indicators (KRIs), managing risk mitigation efforts as a portfolio, and connecting risk management into the governance strategy. The customization of RM in the Philippine Army has resulted to a Risk Dictionary (see Annex A) unique to the organization. The dictionary classified identified risks under three main categories: People Risk, Process Risk, and Policy Risk. The three categories embody main areas of concern related to the Philippine Army's case for change, especially on the Individual, the Systems and Processes, and Organizational Capability level.

0303. The PARM Guide was developed to provide better understanding of how risks affect the strategic objectives and ERM's role to achieve a better outcome.

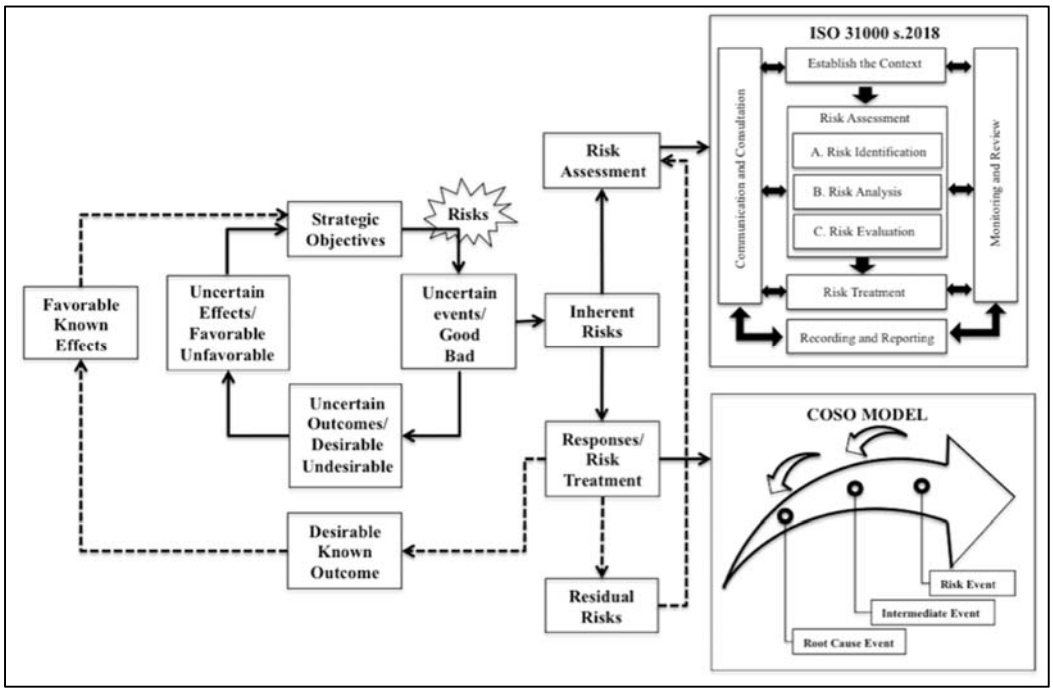


Figure 3.2 – PARM Guide

0304. The PARM guide depicts those strategic objectives are prone to many kinds of risks that may hinder its attainment. These risks are caused by uncertain events that may either be good or bad, which could result to outcomes that are uncertain (desirable or undesirable). Furthermore, the outcomes will have significant effects to the strategic objective that may be favorable or not to the said objective. Hence, the RM framework through its process seeks to expose the inherent risks carried by the events to an assessment using ISO 31000 as its inspiration. The identified and assessed risks are then further subjected using COSO model. The treatment given in the response would bring the risk down and create residual risks that manageable or acceptable. In effect, it will provide better internal controls when outcomes are known, and effects are favorable.

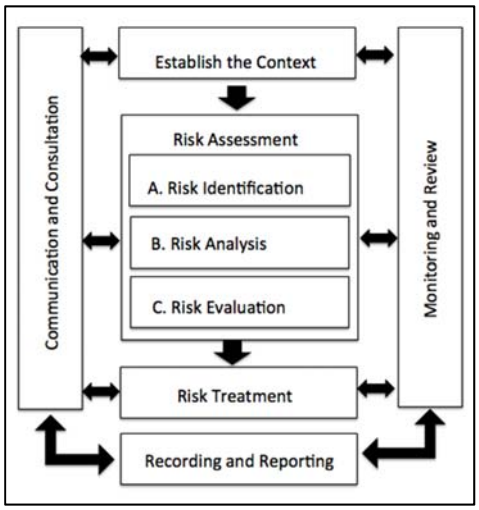


Figure 3.3 – PARM Process modified from the ISO 31000, series of 2018

0305. Figure 1.2 shows the ISO 31000 risk management process which involves the systematic application of policies, procedures, and practices to the activities of communicating and consulting, establishing the context and assessing, treating, monitoring, reviewing, recording, and reporting risk. What was added to the original figure is the arrow underneath that provides feedback from step 5 (Monitor and review) to Step 1 (Communication and Consultation). This is to ensure that the process creates a loop that ensures the continuity of the whole process. The core of this process is with step 3 (Risk Assessment) having three sub-steps that generates the risks.

Communication and Consultation

0306. Communication and consultation are the first step of PARM process. The reason behind communication and consultation portion in the ISO 31000 framework is to bring together a range of areas of expertise in order to deliver a comprehensive risk strategy. Which states that risk and quality improvement are the responsibilities of every individual rather than just a dedicated team. It is important for organizations to appreciate their stakeholders, listening to the views and beliefs of them as well as seeking their feedback will shape and influence organization's future successes or failures. Communication and Consultation runs throughout the PARM process. This step includes:

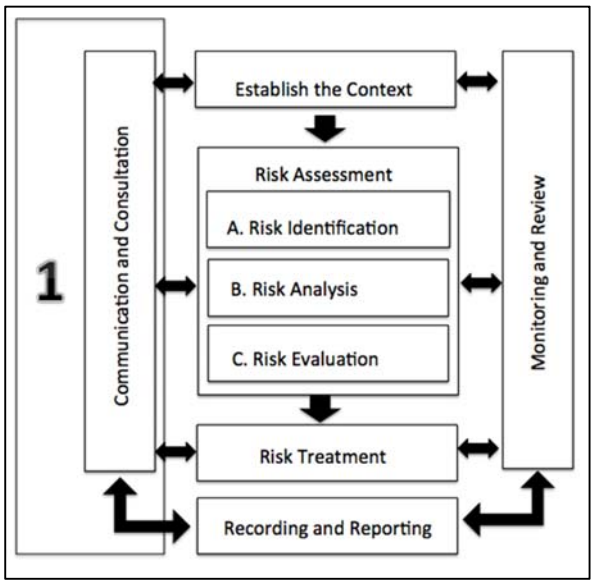


Figure 3.4 – Step 1, PARM Process

a. Bringing different areas of expertise together for each step of the Risk Management process.

b. Ensuring different views are considered when defining risk criteria and evaluating risks.

c. Providing sufficient information to facilitate risk oversight and decision-making.

d. Building a sense of inclusiveness and ownership among those affected by risk.

0307. The scope, context and criteria of the engagement includes:

a. Defining the purpose and scope of risk management activities.

b. Identifying the external and internal context for the organization.

c. Defining risk criteria by specifying the acceptable amount and type of risk.

d. Defining criteria to evaluate the significance of risk and to support decision-making.

0308. The key to keeping stakeholders on-side is communication and consultation. This involves the development of constructive and productive long-term relationships. It aims to build relationships based on mutual trust and benefits and create a sense of inclusion, understanding, and continuous improvement, it is suggested under ISO 31000 that management communicate regularly with key stakeholders throughout the risk management strategy development. This also facilitates a risk-aware culture, improving alignment with organization goals and objectives, as individuals become aware of their role within day-to-day risk management.

0309. Communication and consultation amongst them will become a vital process to maximize success. This can be used to evaluate reactions and to track the perceptions of an organization's activities and ensure collaboration and partnership with all stakeholders. The long-term effectiveness of an organization can depends on its relationships with stakeholders, ensuring commitment and buy-in to any future strategies and challenges. This makes for a more informed organization that is responsive to the needs of all its users and stakeholders.

0310. To identify our key stakeholders, we can use the power and interest grid perception. This stakeholder analysis tool is referred to a range of tools for the identification, description, and assessment of stakeholders based on their roles, power or influence, stakes or interest and relationship to each other, as well as to a system. It is an organized approach that assesses decision-making situations where resources might be limited, a variety of stakeholders have competing interests, and stakeholders' demands should be balanced and addressed.

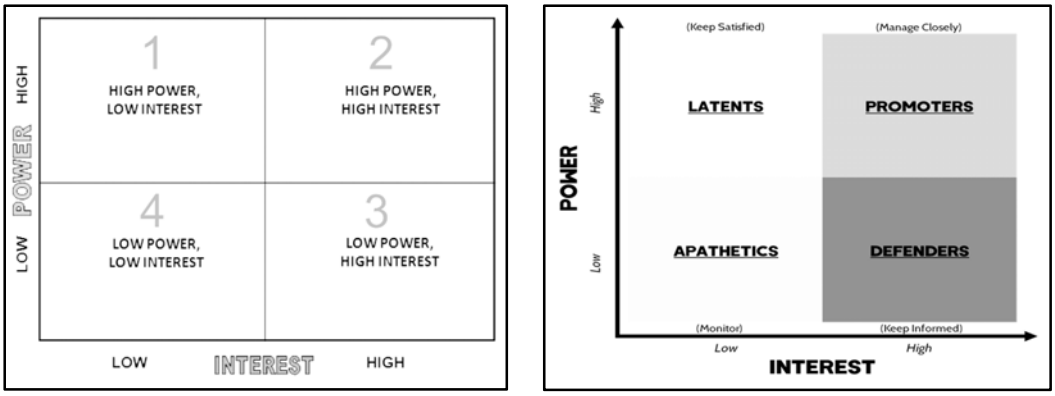


Figure 3.5 – Power and Interest Grid

0311. Stakeholder analysis' tools play a critical role in the identification of stakeholder groups and their positive and negative preference and influence in a decision-making situation. Systematic stakeholder analysis facilitates decision-making processes by assessing the stakeholder's power, interests and cooperation with each other in a system. It is an important process prior to projects aimed at coming to a better decision in a complex multi-actor situation and managing possible conflict among them.

0312. Steps on Stakeholder Analysis:

a. **Identification of Stakeholders**. 1) Brainstorm who your stakeholders are. To do this, list all the people who are affected by your work or who have a vested interest in its success or failure. 2) The list below identifies some of the people who might be stakeholders in your organization or in your programs.

- Senior Executives	- Shareholders	-Government
- Your Boss	- Alliance Partner	-Trade Associate
- Co-workers	- Suppliers	- Media
- Customers	- Lenders	- Public
- Prospective Customers	- Analysts	- Key Advisors
- Family	- Key Contributors	- Interest groups
- Your Team	- Future Recruits	- Community

b. **Engagement of Stakeholders**. In this part, you need to understand how they feel about your programs. Some good questions to ask include: 1) Do they have a financial or emotional interest in the outcome of your work? Is it positive or negative? 2) What motivates them the most? 3) Which of your project information is relevant to them, and what is the best way to relay that information? 4) What is their current opinion of your work? Is that opinion based on accurate information? 5) Who influences their opinion, and are those influencers also your stakeholders? 6) If they are not likely to be supportive of your project, what can you do to win their support? 7) If you cannot win their support, what can you do to manage their opposition?

c. **Differentiation and grouping of stakeholders**. Next, prioritize your stakeholders by assessing their level of influence and level of interest. The Stakeholder Power Interest Grid is the leading tool in visually assessing key stakeholders. The position that you allocate to a stakeholder on the grid shows you the actions you need to take with them:

HIGH POWER, LOW INTEREST *Keep them Satisfied*	HIGH POWER, HIGH INTEREST *Engage them Closely and Influence them Actively*
- consultation - consensus building - focused dialogues - negotiation - involvement/participation	- Focus Group discussions - collaborative efforts - joint initiatives or ventures - inter-agency coordination/coordination - one-on-one meeting - mediation - cooperation management
LOW POWER, LOW INTEREST ***Monitor them***	**LOW POWER, HIGH INTEREST** ***Keep them Informed***
- surveys - interviews - periodic visits - report	- press release - briefing - social networks - road shows - public meetings or forums (pulong-pulong) - empower/community organizing

Figure 3.6 – Selection of engagement approach examples

d. **Stakeholder Mapping**. It is the visual representation of a stakeholder analysis, organizing those people according to the key criteria with which you will be managing them during the program. Some of those criteria may include interest, influence, financial stake, emotional stake, those on the periphery who are still important enough to keep in the loop, etc. This can be done on a grid or in a spreadsheet.

PA STAKEHOLDER ANALYSIS

Stakeholders	How will they influence the attainment of the objective?	Level of Power	How will the objective affect them?	Level of Interest	Position
CGPA	Provides guidance and approval	High	-Efficient systems and processes -Capable and ready Army units and personnel -Contributes to the attainment of overall mission	High	Promoters
G-Staff and Chiefs of Offices	Formulates policies and ensures adherence to policies and directives	High	Improvement of systems and processes under their purview	High	Promoters
OTIG and OAIA	Evaluates and assesses the effectiveness and readiness of units and internal control system	High	Minimizes management findings	High	Promoters
PAMU and Subordinate Unit Commanders	Adheres and implements the policies released by HPA	High	-Increase in capability and work efficiency -Recipients/beneficiaries of programs and projects	High	Promoters
PBAC	Oversees the implementation and administration of Army's resource management system	High	Improvements in the efficiency in the utilization of Army funds	High	Promoters
Capability development Board	Decides the development of modernization programs, projects and activities	High	Effective and efficient management	High	Promoters

Figure 3.7 – Example (PA Stakeholder Analysis and Mapping)

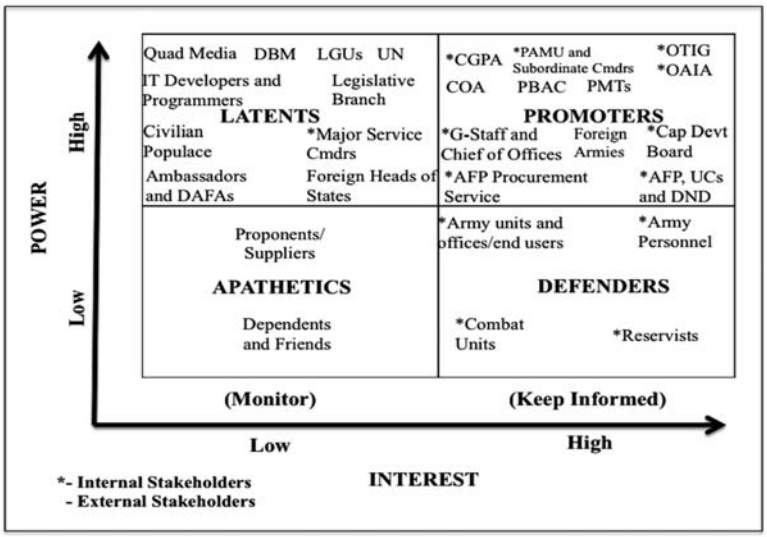


Figure 3.8 – PA Stakeholder Mapping

Note: *The Philippine Army Stakeholder Engagement Practitioner's Handbook provides a detailed step-by-step approach on stakeholder identification and analysis.*

Establish the Context

0313. The second step of the PARM process is establishing the context of the strategy being subjected. This is to ensure that the strategy is aligned with the overall charter of the organization. A misaligned strategy at the very beginning may increase the likelihood of not achieving its mission and vision. The step requires that managers study the strategy vis-a-vis the organization's mission, vision, core values, core purpose as the driving force behind the whole strategy.

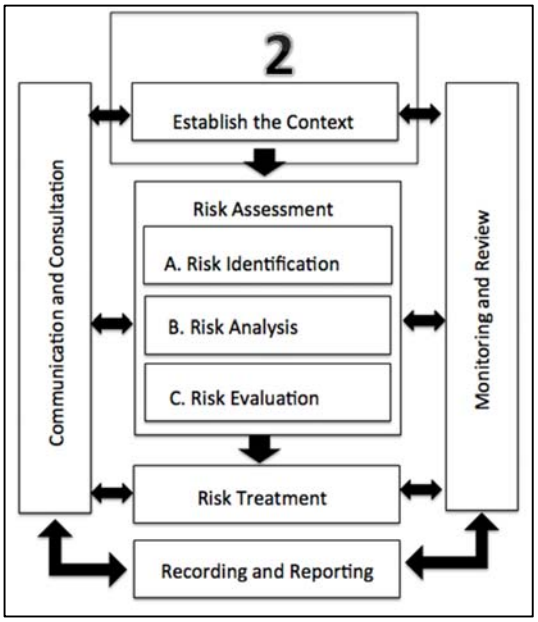


Figure 3.9 – Step 2, PARM Process

0314. In establishing the context, we used several analysis tools to carry out the internal and external environmental scanning to be able to establish a common understanding of what, who, when, and how certain factors were considered, and effect to the attainment of objectives of your organization.

0315. In looking at the external factors we can make use of the PESTELM model, which is used to analyze how your strategy relates on a macro level against the different factors in the external environment. A PESTELM analysis (formerly known as PEST analysis) is a framework or tool used to analyze and monitor the macro-environmental factors that may have a profound impact on an organization's performance. This tool is especially useful when starting a new business or entering a foreign market. It is often used in collaboration with other analytical business tools such as the SWOT analysis to give a clear understanding of a situation and related internal and external factors.

External Environment Scanning						
Political [1]	Economic [2]	Social [3]	Technological [4]	Environmental [5]	Legal [6]	Military

[1] Which government and government policy may impact on the Philippine Army? What are the political policy and stability issues as well as trade, fiscal and taxation policies that may affect, positively or negatively, the attainment of our objectives?
[2] What factors will effect the economy and its performance, which in turn may directly impact on the organization and availability of funds for our programs and initiatives?
[3] What factors in the social environment and emerging trends should be considered?
[4] What are the technological innovations and developments that could shape the Philippine Army and the attainment of its vision and objectives?
[5] What factors relating to the influence of the surrounding environment and impact of ecological aspects may affect the Philippine Army and its operations?
[6] What are the current laws and regulations or any change in legislation that govern the operations of the Philippine Army and should therefore be observed or complied with?

Figure 3.10 – PESTELM Analysis Table

0316. **Political Factors**. These factors are all about how and to what degree a government intervenes in the economy or a certain industry. Basically, all the influences that a government has on your business could be classified here. This can include government policy, political stability or instability, corruption, foreign trade policy, tax policy, labor law, environmental law and trade restrictions. Furthermore, the government may have a profound impact on a nation's education system, infrastructure, and health regulations. These are all factors that need to be considered when assessing the attractiveness of a potential market.

0317. **Economic Factors**. Economic factors are determinants of a certain economy's performance. Factors include economic growth, exchange rates, inflation rates, interest rates, disposable income of consumers and unemployment rates. These factors may have a direct or indirect long-term impact on a company since it affects the purchasing power of consumers and could possibly change demand/supply models in the economy. Consequently, it also affects the way company's price their products and services.

0318. **Social Factors**. This dimension of the general environment represents the demographic characteristics, norms, customs, and values of the population within which the organization operates. This includes population trends such as the population growth rate, age distribution, income distribution, career attitudes, safety emphasis, health consciousness, lifestyle attitudes and cultural barriers. These factors are especially important for marketers when targeting certain customers. This is also saying something about the local workforce and its willingness to work under certain conditions.

0319. **Technological Factors**. These factors pertain to innovations in technology that may affect the operations of the industry and the market favorably or unfavorably. This refers to technology incentives, the level of innovation, automation, research and development (R&D) activity, technological change and the amount of technological awareness that a market possesses. These factors may influence decisions to enter or not enter certain industries, to launch or not launch certain products or to outsource production activities abroad. By knowing what is going on technology-wise, you may be able to prevent your company from spending a lot of money on developing a technology that would become obsolete very soon due to disruptive technological changes elsewhere.

0320. **Environmental Factors**. Environmental factors have come to the forefront only relatively recently. They have become important due to the increasing scarcity of raw materials, pollution targets and carbon footprint targets set by governments. These factors include ecological and environmental aspects such as weather, climate, environmental offsets, and climate change, which may especially affect industries such as tourism, farming, agriculture and insurance. Furthermore, growing awareness of the potential impacts of climate change is affecting how companies operate and the products they offer. This has led to many companies getting more and more involved in practices such as corporate social responsibility (CSR) and sustainability of the environment.

0321. How the environment will affect your strategy and vice versa is important. National and local environmental laws may be a constraint in the achievement of your goals and objectives thus the environment factor should be considered.

0322. **Legal Factors**. Although these factors may have some overlap with the political factors, they include more specific laws such as discrimination laws, antitrust laws, employment laws, consumer protection laws, copyright and patent laws, and health and safety laws. Companies need to know what is and what is not legal in order to trade successfully and ethically. If an organization trades globally this becomes especially tricky since each country has its own set of rules and regulations. In addition, you want to be aware of any potential changes in legislation and the impact it may have on your business in the future. Recommended is to have a legal advisor or attorney to help you with these kinds of things.

0323. **Military Factors**. A critical reason why the military is included in the factors is its fundamental role in society. The military is not an isolated organization. It has entwined its purpose and existence in the social fabric of the nation with stakeholders and Multi-Sector Advisory Boards (MSAB). In the Philippines, the military does not only address external threats but are deeply involved in internal security operations,

which exposes it to participate in nation building activities and support to law enforcement as well as development operations. The Philippine Constitution clearly states the role of the military in not only securing the integrity of the national territory but to ensuring the welfare and wellbeing of every citizen.

0324. In some cases, an organization may have to work with the military due to concerns on security and the peace and order situation in an area with regards to its business strategy and operations. It is therefore important to consider the military factor in any strategic planning and gather information on how the military influences the situation and its implication to other organizations. In like manner, the military must also consider its position when working with other organizations in furtherance of its military objectives.

0325. The tables on the succeeding page depict the PESTEL(M) Analysis of the Philippine Army. The "M", which stands for *Military*, was added to localize the tool in the organization.

External Environment Scanning			
Technological	Environmental	Legal	Military
- Advance enemy weapon systems - Emerging technologies - Rate of change of technology - ICT developments - Research and development activities - Outsourcing decisions - Vast competition of telecommunication companies - Effect of internet - Willingness to embrace increase in automation of services - The introduction of modern equipment in today's warfare will form a big deal in planning considerations	- Weather - Climate change - Geography - Increase in the number of infrastructures - Natural disasters - Cyberspace warfare acceleration - Invasion activities and terror attacks - Participation of govt forces in LEO against illegal logging activities will play a vital role	- New laws and legislation - RA 7227 (Bases Conversion and Devt Act of 1992) - RA 9184 (Government Procurement Reform Act) - RA 10349 (Revised AFP Modernization Act) - Foreign policies - National ICT Governance Service and Policies from DICT - Defense Planning Guidance of DND - Use of legal and calibrated response against any threat	• Change in Defense Priorities (MAs) • PAF or PN modernization program • DND and GHQ Leadership • Force Structure of Technical Services • Training Allocation provided by GHQ (Indiv career/Skills Trng & Joint Ops) • Challenges in interoperability (Joint and combined)

Figure 3.11 – Example (PA PESTELM Analysis)

PESTEL(M) ANALYSIS

External Environment Scanning		
Political	Economic	Social
- Corruption - Freedom of the press - International pressure groups - Risk of military invasion - Wars and conflicts - Political/government stability - Government type - ASEAN countries' cooperation stability - Strong partnership with allied countries - RA 9184 Procurement Act if not amended will continue to hamper our organizational goals - Modernization Law if pushed and prioritized during Congress deliberations will pave the way for the attainment of our strategic objectives	- Exchange rate fluctuations - Inflation rate - Demand for raw materials - Economic growth - Currency exchange rates - Poverty situation will continue to be used as Propaganda on the perspective side of adversaries	- Media views - Health - Population growth - Cultural aspects - Pro and anti-government group actions - Balancing of social classes will reduce adversarial opportunities - Education, values, and behaviors of potentional recruitment pool

Figure 3.12 – Example (PA PESTELM Analysis)

0326. In examining the internal factors, ISO 31000 explains the internal context of the organization in terms of its capabilities, skills, internal stakeholders, expectations, and decision-making process. This micro analysis is best achieved using the McKinney's 7s model as a tool, which look at various parts of the organization (internal) and how they work together or affect each other.

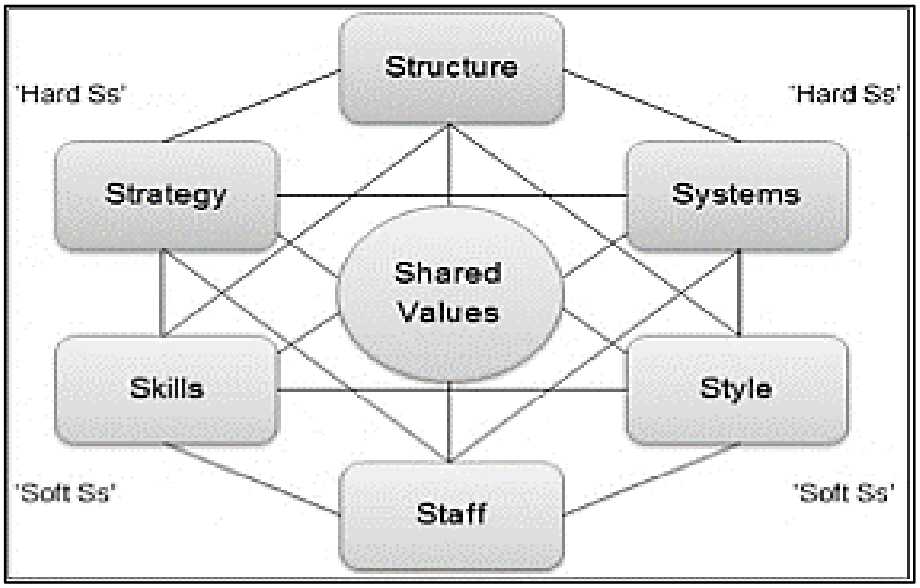


Figure 3.13 – McKinsey's 7S model

0327. This model seeks to present an emphasis on human resources (Soft S), rather than the traditional mass production tangibles of capital, infrastructure, and equipment, as a key to higher organizational performance. The goal of the model was to show how

7 elements of an organization: Structure, Strategy, Skills, Staff, Style, Systems, and Shared values, can be aligned together to achieve effectiveness in an organization. The key point of the model is that all the seven areas are interconnected and a change in one area requires change in the rest of a firm for it to function effectively.

Table 3.1 – Hard and Soft Elements of the McKinsey's 7S Model

Hard Elements	Soft Elements
Strategy (Policy)	**Shared Values (People)**
Structure (Policy)	**Skills (People)**
Systems (Process)	**Style (People)**
	Staff (People)

0328. The three "hard" elements are strategy, structures (such as organization charts and reporting lines), and systems (such as formal processes and IT systems.) These are relatively easy to identify, and management can influence them directly.

a. **Strategy:** this is your organization's plan for building and maintaining a competitive advantage over its competitors

b. **Structure:** this how your company is organized (that is, how departments and teams are structured, including who reports to whom)

c. **Systems:** the daily activities and procedures that staff use to get the job done

0329. The four "soft" elements, on the other hand, can be harder to describe, less tangible, and more influenced by your company culture. But they are just as important as the hard elements if the organization is going to be successful.

a. **Shared values:** these are the core values of the organization, as shown in its corporate culture and general work ethic. They were called "superordinate goals" when the model was first developed

b. **Style:** the style of leadership adopted

c. **Staff:** the employees and their general capabilities

d. **Skills:** the actual skills and competencies of the organization's employees

0330. If something within your organization or team is not working, chances are there are inconsistencies in some of the seven elements identified in the model. These are: strategy, structure, systems, shared values, style, staff, and skills.

0331. Once you reveal these inconsistencies, you can work to align these elements to make sure they are all contributing to the shared goals and values.

0332. The process of analyzing where you are right now in terms of these elements is worthwhile. But you can really move your organization or team forward by determining the desired future state (vision) for each of the factors. At the same time, emphasis should be given on the shared value element. A vision not shared by all will become difficult to achieve. Effective communication is important to spread the vision and generate support towards the desired future state.

MCKINSEY's 7S MODEL	
Shared Values	The core values of the Philippine Army is Honor, Patriotism, and Duty. These are shared in the entire organization and operationalized through its core purpose, Serving the People, Securing the Land.
Strategy	The strategic focus is to *"Develop landpower capability contributing"*, which is supported by objectives in the core approach and support process objectives. These objectives are driven by strategic programs and projects that will be implemented next year. Strategy is adjusted through reviews and refresh.
Structure	The organization's structure is hierarchal depicting chain of command/lines of authority. There are horizontal and vertical units in the 2nd, 3rd, and 4th level units. The current structure needs adjustment in terms of the creation of new units and offices that are required in the execution of the strategy (e.g TFF, BCTs, LSB, etc.) Various departments coordinate through conference, consultations, small group discussions, committee meetings, boards meetings, Centralized in decision making decentralized in controlling.
System	The main system runs the organization is the PA Strategic Management System, an overarching framework that serves as the operating guide of the Philippine Army. It governs the planning and operating system and is implemented by various information system. Organizational controls include JRRS, Army Governance Pathway, accounting and procurement procedures, inventory, internal audits, and IG inspections Monitoring and evaluation mechanisms are strategy reviews, program reviews, training evaluation, PPBER, OPREVAL, Annual Accomplishment report. Internal rules and processes that the organization subscribes to are doctrines, SOPs, policies and directives, and managerial policies.
Style	The PA's management/ leadership style is autocratic but participative. There are functioning teams within the organization like the various conference groups, technical working groups, and committees. This style is considered highly effective.
Staff	Functional staff is represented by field of specialization Personnel are assigned in all units and offices but recruitment of additional forces is going-on. Newly or soon to be created units will also require additional personnel. Fast turn-over of Army personnel Required competencies for HPA offices should be defined. Gaps should be addressed.
Skills	The strongest skills represented within the organization are managerial, leadership, warfighting and peacekeeping. Current employees have the ability to do the job but there are identified skills gap. (policy making, strategic, database development, research development) Skills monitored and assessed through Training Assessment and evaluation, JRRS, AFP PMS

Figure 3.14 – Example (PA McKinsey's 7S Model)

Risk Assessment

0333. The third step to the process is the risk assessment. It comprises of three stages; identification, analysis and evaluation. During risk identification uses the risk dictionary as a tool; and we analyze and evaluate the risk according to its level of impact and likelihood to occur using the risk heat map and the risk mitigation overlay.

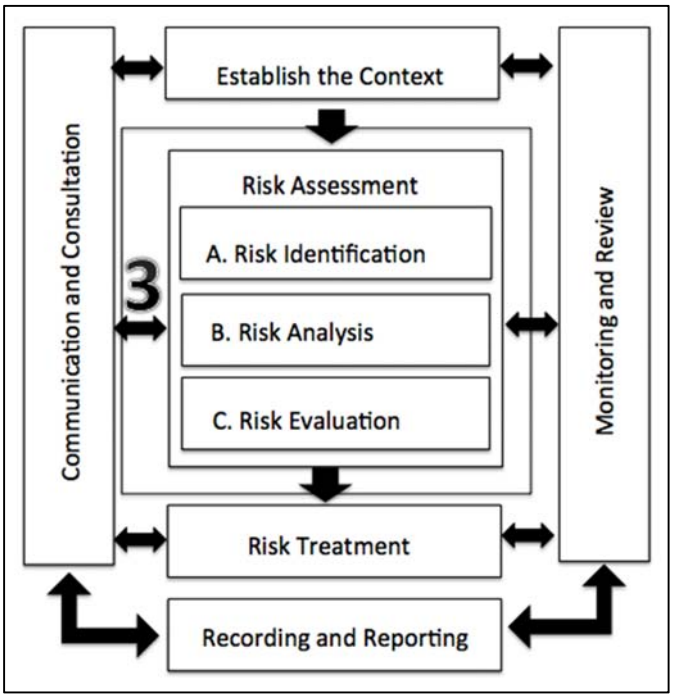


Figure 3.15 – Step 3, PARM Process

0334. This is the core process of the risk management. This step determines the root causes and categorizes the risk, the possibility of the risk actually happening and its effect on the strategy. The step shall determine whether a particular risk warrants a response or treatment. Throughout the process, communications, consultation, and monitoring and review is undertaken to ensure continual improvement in the implementation of this approach.

0335. **Risk Identification**. In this part, the initial focus is on clarity of strategies and objectives. The focal point for risk identification may be at any level, such as the overall organization, a strategic organization unit, function, project, process, or activity. Without clear objectives it is impossible to identify events that might give rise to risks that could impede the accomplishment of a particular strategy or objective, regardless of the scope of the inquiry.

0336. Assuming those involved in identifying risks have a clear understanding of the strategies and objectives, the appropriate questions to ask are: “What could stop us from reaching our top goals and objectives?” and “What would materially damage our ability to attain our goals?” These questions can be modified for the appropriate level of inquiry.

0337. In the risk identification process, those involved should recognize that it is a misperception to think of a risk "as a sudden event." Identifying an issue that is facing the organization and discussing it in advance can potentially lead to the risk being mitigated.

0338. Before considering some of the specific techniques available for organizations to identify risks, several important factors should be noted about this process:

a. The result of the process should be a risk language specific to the organization or the unit, function, activity, or process.

b. Using a combination of techniques may produce a more comprehensive list of risks than would reliance on a single method.

c. The techniques used should encourage open and frank discussion, and individuals should not fear reprisal for expressing their concerns about potential events that would give rise to risks resulting in major loss to the organization.

d. The process should involve a cross-functional and diverse team both for the perspectives that such a group provides and to build commitment to ERM.

e. The process will probably generate a lengthy list of risks, and the key is to focus on the "vital few" rather than the "trivial many".

0339. Risks must be identified correctly before an organization can take the next step. Analyzing the wrong list of risks or an incomplete list of risks is futile. Organizations should make every possible effort to ensure they have identified their risks correctly using some or all the approaches discussed. Any risks identified, almost by default, have some probability of influencing the organization.

0340. According to the COSO ERM Framework, the objective of risk identification is to determine the risks that could interrupt operations, affect the reasonable expectation of achieving the entity's strategy and business objectives or materially impact the entity's license to operate (including reputational issues). Identifying opportunities should be a key part of the risk identification process. COSO defines opportunities as the actions or potential actions that create or alter goals or approaches for creating, preserving, and realizing value.

0341. Some aspects to consider when identifying and defining risks:

a. What is the nature of the risk?

b. What is the source of the risk?

c. What is the root cause of the risk?

d. Why is the issue relevant to the business?

e. Which business decisions may be impacted by the risk?

f. What will be improved or enhanced by addressing the risk?

0342. As a tool, we used the risk dictionary (see Annex A) in identifying common and possible risks that may exist. Once determine that risk does exist, it is often useful in attempting to determine where to go there to allocate these risks according to their commonalities, and essentially place them into risk categories. Risk categories are made up of risk causes that fall into common groups. This may be a necessity if the risk identification process produces hundreds of risks, which can be overwhelming and seem unmanageable. Risk categories include hazard, operational, financial, and strategic but in our organization, it is categorized in terms of policy, process, and people risk. Other categories are controllable or noncontrollable and external or internal. Categorizing risk requires an internal risk language or vocabulary that is common or unique to the organization in total, not just to a particular sub-unit or silo. Studies have shown that an inconsistent language defining risks across an organization is an impediment to an effective PARM strategy.

0343. After a risk is identified, the temptation to quantify it before further analysis is completed should be avoided. Additional understanding of the risk's potential causes is required by the PARM team and management before its impact can be quantified. Working with the various units of the organization that own parts of the risk, the PARM team should drill into the risk to uncover what is beneath the surface and to get a better understanding of the potential risk drivers. An influence diagram or root cause analysis can be developed using scenario analysis. This can be done by using supporting documentation and interviewing those who own parts of the risk to identify KRIs.

0344. KRI is an important tool that provides an early warning to identify potential events that may harm the continuity or achievement of an activity/ program or objective. KRI's are metrics used to provide an early signal of increasing risk exposure in various areas of the organization. In some instances, they may be little more than key ratios that the board and senior management track as indicators of evolving problems, which signal that corrective or mitigating actions need to be taken. Other times, they may be more elaborate, involving the aggregation of several individual risk indicators into a multi-dimensional risk score about emerging potential risk exposures. KRI's are typically derived from specific events or root causes, identified internally or externally, that can prevent achievement of strategic objectives.

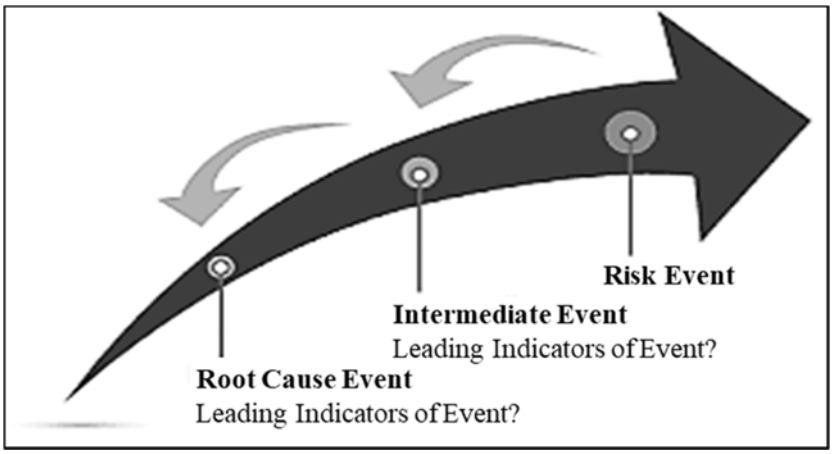


Figure 3.16 – COSO Model on Leading Indicators of Risk Event

0345. Figure above depicts an effective method for developing KRIs by analyzing a risk event that has affected the organization and then working backwards to pinpoint intermediate and root cause events that led to the lost opportunity. In this diagram, the passage of time proceeds from a root cause event to an intermediate event that ultimately leads to a risk event is shown.

0346. When identifying risks, practitioners should aim to precisely describe each risk. The risk description should focus on the risk itself, rather than calling out a general issue (e.g., climate change), the root cause of the risk, the potential impacts of the risk or the effect of the risk response being poorly implemented.

RISK ASSESSMENT TABLE			
Risk Identification			
Nr.	**Risk Category (Nature)**	**Risk Indicator (Source)**	**Risk Description (Root Cause)**
1	Policy	Legal and Regulatory Compliance Risk	Legal and administrative hurdles caused by inability to abide the law
2	Process	Efficiency Risk	Failure to meet established targets and deadlines
3	People	Human Resource Risk	Lack of required knowledge, skills, and experience of personnel

Figure 3.17 – Example (Risk Identification)

0347. **Risk Analysis**. With an in-depth understanding of how the strategic risk could occur, more information is now available to assist in quantifying the risk. This information can be framed in order to begin estimating the impact. The point of this analysis is to understand the level at which quantification can best occur. If the risk is quantified at too high a level, it could be too broad or not actionable. Using a building block approach around risk drivers facilitates the quantification process. At the end of the process, however, quantification is still an estimate and should be viewed as merely providing an "order of magnitude" of the impact.

a. **Qualitative Approach (Risk Definition)**. Risk analysis techniques can vary from qualitative to quantitative. The qualitative techniques can be a simple list of all risks or/with definition. A list of risks is a good starting point. Even though no quantitative analysis or formal assessment has been applied to the initial list of risks, the list and accompanying knowledge is valuable.

b. **Quantitative Approach (Impact and Probability Matrix / Risk Heatmap)**. The importance of an event includes not just its impact but also its likelihood of occurring. Therefore, many RM organizations generate risk maps using impact and probability. In ERM implementation, companies not only generate risk maps to capture impact and likelihood but also to demonstrate how risks look

when put together in one place. The value of the map is that it reflects the collective wisdom of the parties involved. Furthermore, risk maps capture considerable risk information in one place that is easily reviewed.

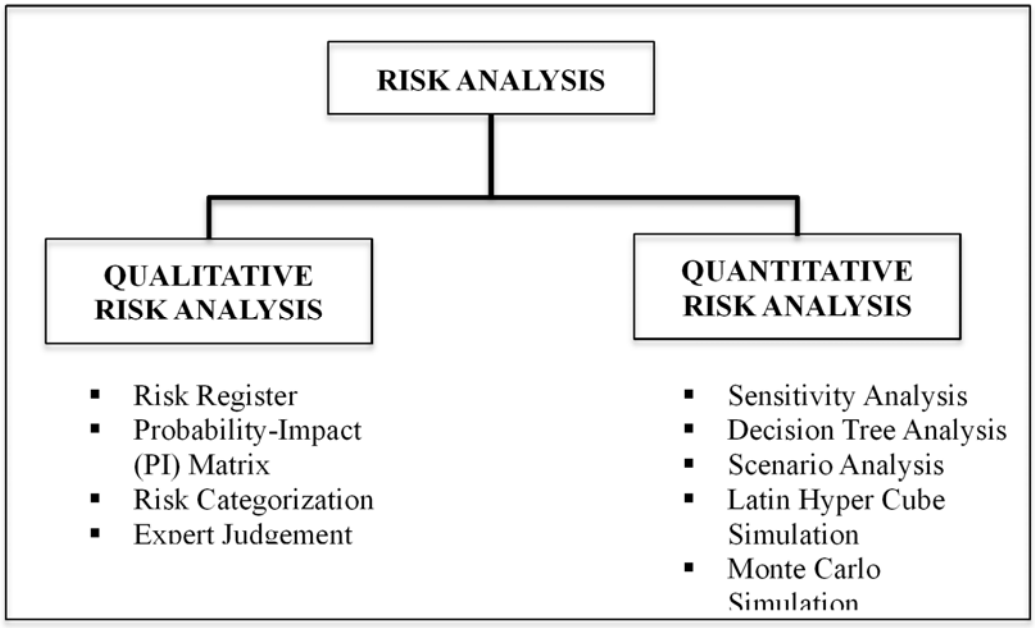


Figure 3.18 – Approaches to Risk Analysis

0348. Impact Criteria and Risk Assessment Scale (Probability-Impact Matrix). After conducting both external and internal environment scanning, the identified risks are then analyzed through an assessment scale. Commonly, organizations use a Probability-Impact Scale to comprehend the nature of risks and determine their appropriate levels, where "Impact" is on the y-axis of the graph and "Probability" on x-axis. Program directors may use historical data, past experiences, probability forecast techniques, and expert opinion when estimating the impact and probability of risks. In doing so, they should consider numerous factors such as – effectiveness of existing controls, time-related aspects, and complexity and connectivity of risks.

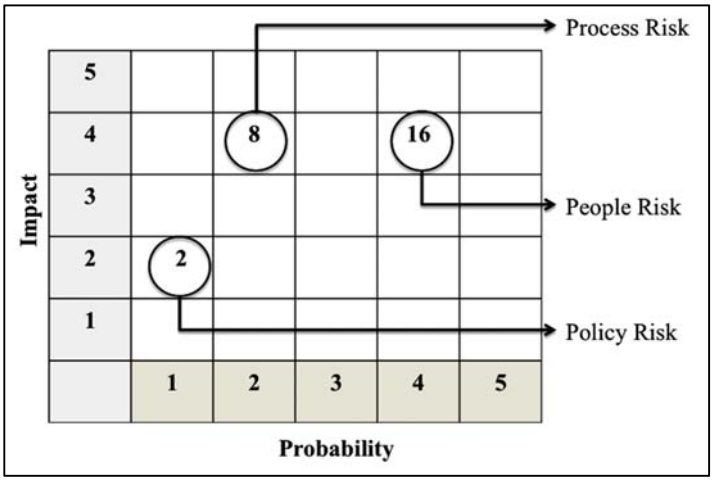


Figure 3.19 – Probability and Impact Matrix Rating

0349. Probability-Impact (PI) matrix is calculated by the multiplication of the scale value of probability and impact (PxI). The result is then classified into extremely high risk, high risk, medium (moderate) risk, or low risk in the evaluation step.

0350. The table below serves as a guide in rating the probability and impact of the risks identified by the Philippine Army.

Impact	Probability
1 – Insignificant: no noticeable impact	1 – Rare: can assume will not occur but probable
2 – Minor: minimal impact	2 – Unlikely: could occur at some time; remotely possible
3 – Moderate: degrade capability of the organization; delay accomplishment of some objectives	3 – Possible: intermittent occurrences
4 – Severe: significantly degrade the capability of the organization; delay accomplishment of several objectives	4 – Likely: several or numerous occurrences
5 – Critical: ultimately inhibiting the achievement of strategic objectives	5 – Frequent: continuous, regular, or inevitable occurrences

Figure 3.20 – Impact and Probability Rating Guide

RISK ASSESSMENT TABLE						
Risk Identification				Risk Analysis		
Nr.	Risk Category	Risk Indicator	Risk Description	Impact	Probability	Rating
1	Policy	Legal and Regulatory Compliance Risk	Legal and administrative hurdles caused by inability to abide the law	2	1	4
2	Process	Efficiency Risk	Failure to meet established targets and deadlines	4	2	8
3	People	Human Resource Risk	Lack of required knowledge, skills, and experience of personnel	4	4	16

Figure 3.21 – Example (Risk Analysis)

0351. **Risk Evaluation**. After rating the impact and probability of the identified risks, they are then immediately plotted on the Impact-Probability Scale and are evaluated. Risk evaluation is nothing more than comparing the results of the previous analysis. It is necessary as it determines whether additional action is needed based on the risk criteria. The method also separates the key risks from insignificant ones. However, program directors should keep an eye on insignificant or low risks as they could change over time.

0352. **Risk Ranking**. Once the organization has created its list of risks, it can begin to rank them. Ranking requires the PARM team to prioritize the risks on a scale of importance, such as low, moderate, and high. Although this seems unsophisticated, the results can be dramatic. Organizations find considerable value in having conversations about the importance of a risk. The conversations usually lead to questions about why one group believes the risk is important and why others disagree. Again, this process should use a cross-functional risk team so that perspectives from across the entire organization are factored into the rankings. This is a critical task requiring open debate, candid discussion, and data tracking, recording, and analysis.

0353. When assessing likelihood or probability, the PARM team can use a variety of scales:

a. Low, medium, or high

b. Improbable, possible, probably, or near certainty

c. Slight, not likely, likely, highly likely, expected

0354. The same is true for assessing impact:

a. Low, medium, or high impact

b. Minor, moderate, critical, or survival

c. Absolute number

0355. In reference to Figure 3.22, the boundaries between the risk levels (e.g. from Medium to High Risk) depend on the risk appetite and tolerance of the management. In some literatures the term Probability is expressed as likelihood and the term impact is expressed as consequence. Likelihood is the chances or frequency of a certain event (risk) or identified hazard to occur. Consequence is understood as the level of impact or effect if indeed an event shall occur. Consequence determines the severity of the result.

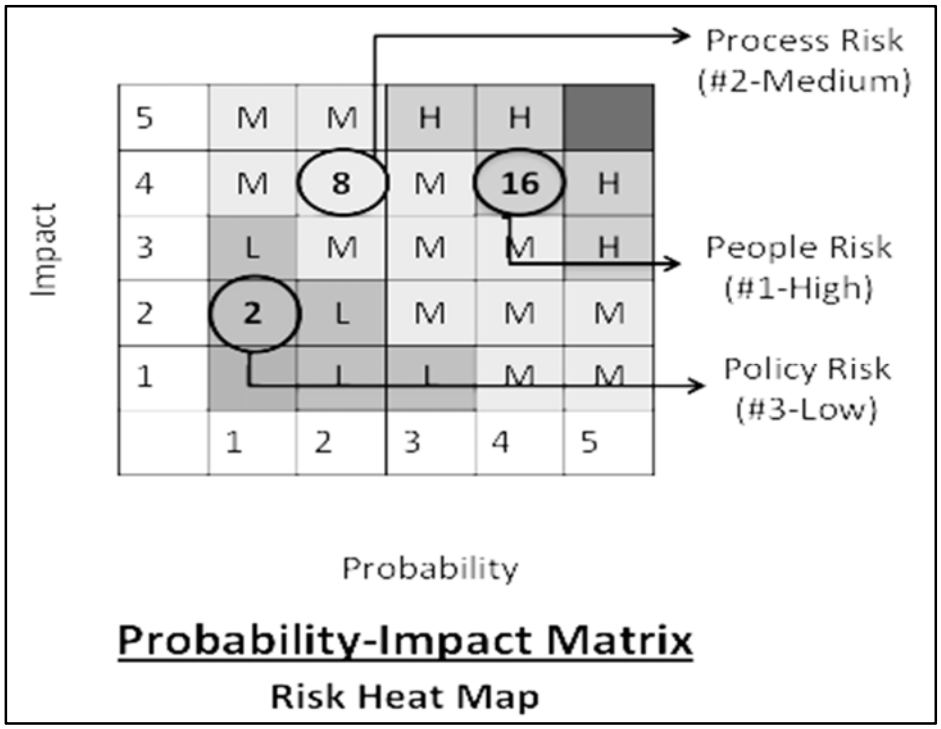


Figure 3.22 – Risk Heat Map

Type	Description
Low	Consequences are insignificant; no immediate response required
Medium	Consequences are less significant but may cause inconvenience in short term; controls may be placed only if they are cost-justifiable
High	Consequences are significant and warrant appropriate consideration; response strategies need to be developed; requires regular monitoring
Extremely High	Requires immediate attention; escalated to senior management for prioritized response and treatment plan development; may consider developing new or modifying current strategies

Figure 3.23 – Ranking Criteria

0356. Organizations most often express their risk appetite through a document that provides a guide to the organization's risk management activities. The risk appetite statement should consider the perspectives and views of all stakeholders and implications to the organization.

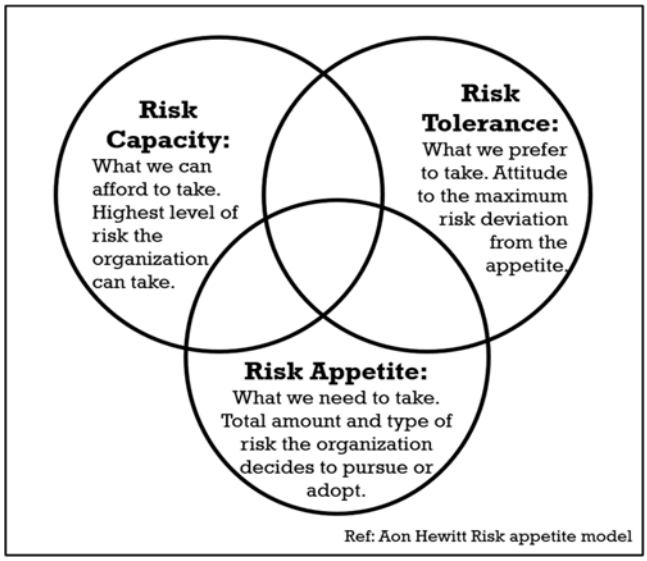


Figure 3.24 – Risk Appetite Model

0357. Figure 3.24 illustrates the relationship of risk capacity, risk tolerance and risk appetite. Risk capacity is the highest amount the organization can take while risk tolerance is how much risk the organization is willing to take within its risk capacity. Moreover, risk appetite is what the organization decides to take in relation to its capacity and tolerance levels.

0358. In this context, the risk heat map is subjected to a risk appetite curve to determine if the identified and assessed risk falls within the risk appetite of the organization. Risk appetite may vary for each of the risk. Organizations must determine their boundaries and declare them in a risk appetite statement.

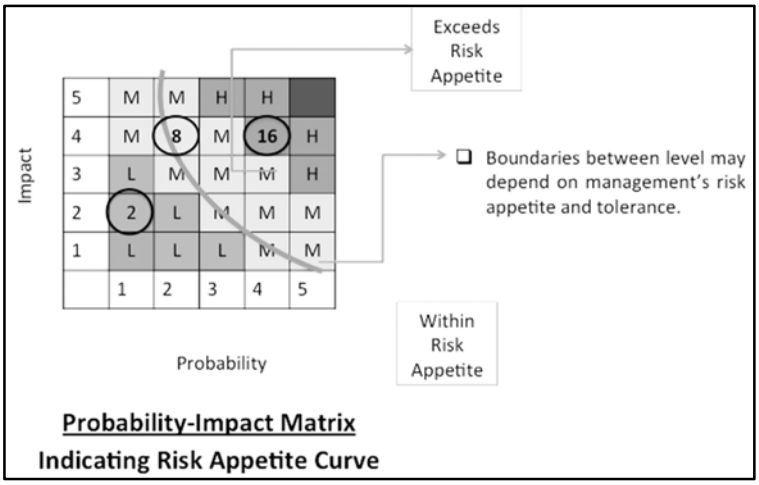


Figure 3.25 – Risk Appetite Curve

0359. This step of the risk management process results to the risk rating with pre-established risk criteria. Risk evaluation at this stage consists of risks ranked by severity or priority. They are determined as acceptable, unacceptable. Those that fall below the Risk appetite curve (predetermined risk criteria) are categorized as acceptable and may be subjected only to monitoring and periodic review. Those that fall above the curve

are categorized as unacceptable and prioritized for treatment. Unacceptable risks are included in the risk treatment plan and management assigns responsibilities in the implementation of the risk treatment plan. It is treated the same as a project schedule with project management teams and work breakdown schedule. A periodic monitoring and reporting should also be part of the treatment plan.

RISK ASSESSMENT TABLE							
Risk Identification			Risk Analysis			Risk Evaluation	
Nr.	Risk Category	Risk Indicator	Impact	Probability	Rating	Level (scale)	Ranking (priority)
1	Policy	Legal and Regulatory Compliance Risk	4	1	4	Low	3
2	Process	Efficiency Risk	1	2	2	Medium	2
3	People	Human Resource Risk	4	4	16	High	1

Figure 3.26 – Risk Assessment Table with Risk Evaluation Data

Risk Treatment

0360. Risk treatment is the fourth step of PARM process. When the risk is calculated, the risk assessment process finishes. However, our actual goal is treating the risk. The risk treatment process aims at selecting measures to reduce, retain, avoid, or transfer the risks and at defining a risk treatment plan. The process receives as input the output of the risk assessment process and produces as output the risk treatment plan and the residual risks subject to the acceptance decision by the management of the organization.

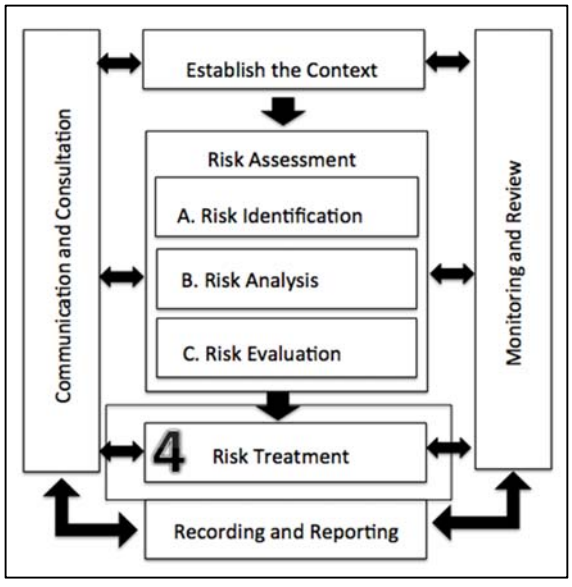


Figure 3.27 – Step 4, PARM Process

0361. For risks evaluated as unacceptable, various options for risk treatment are available. These options are: 1) Avoid risk –by not proceeding with the activity; 2) Reduce risk-either reduce the probability (likelihood) or the impact (consequence); 3) Transfer risk- by involving another organization to do the activity (third party contractor).

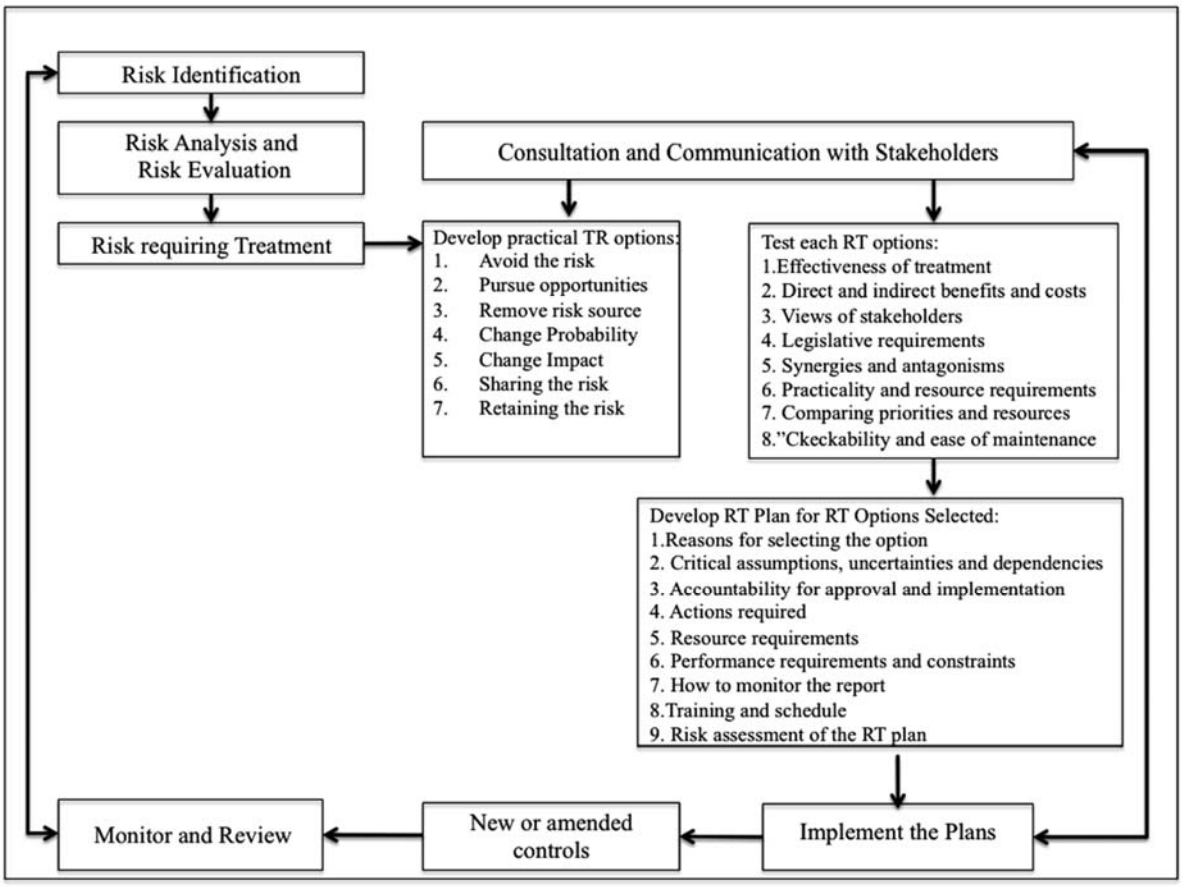


Figure 3.28 – Risk Treatment Process

0362. The options available to treat risk are to modify it, to retain it, to avoid it, or to share it. Combinations of these options are also possible. The factors that might influence the decision are the cost each time the incident related to the risk happens; how frequently it is expected to happen; the organization's attitude toward risk; the ease of implementation of the measures required to treat the risk; the resources available; the current business/technology priorities; and organizational and management politics.

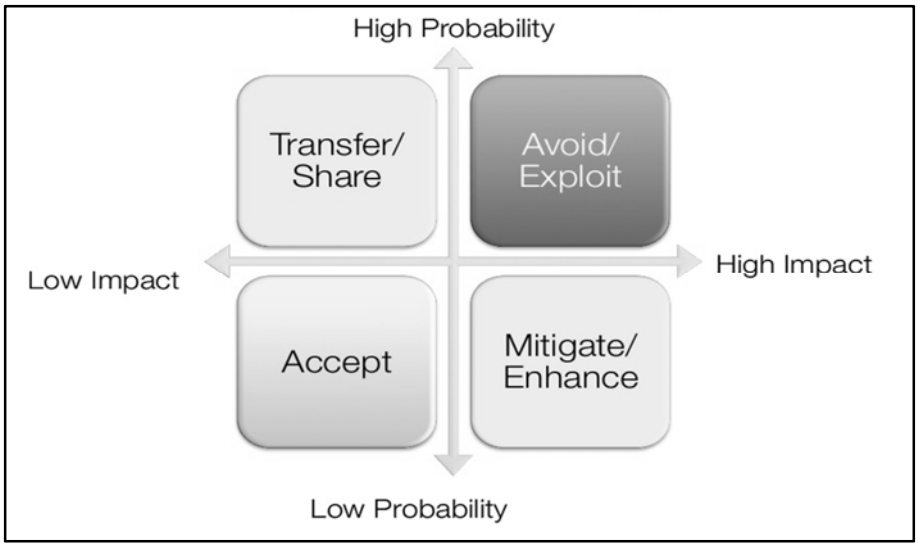


Figure 3.29 – Risk Response Strategy

0363. When qualitatively assessing these risks, it is also possible to estimate ranges. Risk maps can help an organization determine how to respond to a risk. As organizations see the greater risks, they can plan a response.

0364. It is possible to reduce risk by reducing the likelihood of the threat occurring or the likelihood of the vulnerability being successfully exploited. There is no universal or common approach to the selection of measures.

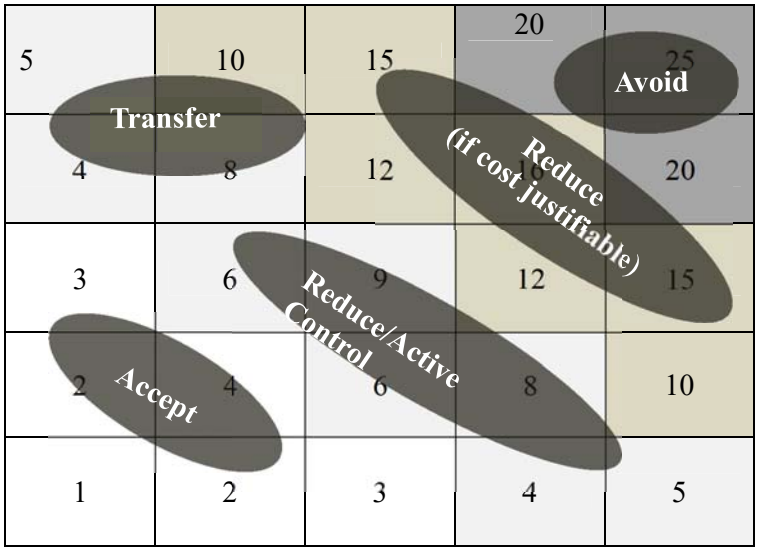


Figure 3.30 – Risk Heat Map and Response

Response	Action
Accept	**Do nothing about the risk except to monitor it because it may not be possible to respond or practical to act on the risk.**
Reduce	**Take early action to reduce the likelihood or impact of the risk in case it occurs. Contingency plans could be made to mitigate its impact or control the situation.**
Transfer	**Find a reliable partner or third party willing to handle the responsibility and liability for managing the risk.**
Avoid	**Terminate the activity or end the project if risk is too high. Also eliminate the source of the risk to prevent it from causing negative impact.**

Figure 3.31 – Definition of Actions per Response

0365. For all those risks where the option to modify the risk has been chosen, appropriate measures should be implemented to reduce the risks to the level that has been identified as acceptable, or at least as much as is feasible toward that level.

0366. **Keys to Risk Map**. Several keys need to be considered when generating risk maps: confidentiality, definitions, timeframe, direction, and correlations.

0367. Organizations may want to consider doing impact and probability in a confidential manner. Even with confidentiality, good risk facilitators can bring out the risk source and root problems.

0368. Definitions used during the risk map generation are critical. What is "important" to one work unit or individual may not seem "important" to another.

0369. It means timeframes, which need to be established up front so that any understanding of the risk and its impact is clear as to when it will affect the organization. What seems important today or this week may not seem important in five years. Similarly, although some longer-range risks may not seem important today, these risks could threaten the organization's survival if left unmanaged.

0370. Direction of risk can be captured using terms such as "increasing," "stable," or "decreasing." Related to the risk direction is the risk trend. Knowing the direction and trend of a risk as well as its impact and likelihood can be crucial to managing that risk.

0371. **Division at risk (Risk mitigation overlay)**. Identifying risks by objective gives an organization the option to map risks by objectives. A risk map by objective captures all the risks related to a single objective, helping the organization understand the broad spectrum of risks facing that objective. Using such a map, the organization can see the biggest risks to reputation. After organizations assess risks, they should also consider any related controls so that the residual risk is known. The organization may also divide the risks into positive and negative risks with corresponding strategies as a response.

0372. **Strategy for Positive Risks seen as opportunities**:

a. **Exploit**. Remove the uncertainty. Example is to assign the organization's most qualified personnel or valuable resources to cut on project completion time and ensure better quality than previously planned.

b. **Share**. Work with another group to increase chances of the event to occur.

c. **Enhance**. This is used to create better positive impact by adding more resources to the project.

d. **Accept**. The willingness to accept the opportunity as it comes but not necessarily actively pursuing or influencing the situation.

0373. **Strategy for Negative Risks seen as Threats**:

a. **Avoidance**. Change the plan to avoid undesirable risks.

b. **Transfer**. Transfer the responsibility and ownership of the risk to a third party such as those in contractual agreements.

c. **Mitigation**. Minimize the impact of the risk by increasing assurance or insurance.

d. **Acceptance**. It can be passive or active. Active acceptance may include development of contingency plans including time, money or other resources to prepare for the occurrence of the risk, or passive acceptance by lowering expectations, which is without any contingency plans and requires no actions other than to record and monitor.

0374. Once the risk treatment decisions have been taken, the activities to implement these decisions need to be identified and planned. The risk treatment plan needs to identify limiting factors and dependencies, priorities, deadlines and milestones, resources, including any necessary approvals for their allocation, and the critical path of the implementation.

0375. The risk treatment plan is produced from the deliverables created during the planning phases of the risk management process defined earlier. The correct implementation of controls relies on a well-structured and documented risk treatment plan. When the risk treatment plan is completed, the Risk Owner's approval should be obtained for the implementation of the controls for their risks and / or assets. Top management approval may also be required for all risks as their implementation will have resource and financial implications. The main elements of the risk treatment plan are:

a. Information security training

b. Performance measures

c. Proposed actions, priorities, or time plans

d. Reporting and monitoring requirements

e. Resource requirements

f. Roles and responsibilities of all parties involved in the proposed actions

0376. After the risk treatment decisions have been taken, there will always be risks remaining. These are called residual risks. Residual risks can be difficult to assess, but at least an estimate should be made to ensure that sufficient protection is achieved. If the residual risk is unacceptable, the risk treatment process should be repeated.

0377. **Residual Risk**. According to ISO 27001, is the remaining risk after mitigation efforts and controls are in place to address the initially identified inherent risks that threaten the achievement of objectives. Risk maps can show overall risks, or they can be shown with just residual risks. Understanding residual risk can provide major benefits because organization do not want to over or under-manage a risk that may be deemed by management and stakeholders to be "tolerable" or acceptable relative to stated organization's objectives.

0378. If a remaining risk is low, then it becomes acceptable level based on the organization's risk appetite. Once the residual risks have been determined, there are several options to treat them. If the level of risk is lower than the acceptable tolerance, then the option is to do nothing. If the level is above the acceptable level, then there is a need to conduct an assessment to review and reassess the residual risks.

0379. The process of assessing residual risk is the same as the risk assessment methodology, using the same scales and criteria. However, the influence of the controls and treatment methods are considered thus generating a decrease in likelihood or a smaller impact. A residual risk can determine if the planned treatment is sufficient to mitigate the risk. When the residual achieves an acceptable level based on the risk appetite of the organization that it becomes enough. Risks are never eliminated. Hence, there will always be residual risks. The point is that an organization must agree what is the acceptable residual risk.

RISK MANAGEMENT TABLE

Risk Identification		Analysis	Evaluation		Treatment	
Risk Category	**Risk Indicator**	**Rating**	**Level (scale)**	**Ranking (priority)**	**Response**	**Residual**
People	Human Resource Risk	16	High	1	Avoid (Eliminate cause)	Medium
Process	Efficiency Risk	4	Medium	2	Reduce (Active control)	Low
Policy	Legal and Regulatory Compliance Risk	2	Low	3	Accept (Monitor)	Low

Figure 3.32 – Risk Management Table with Treatment Data

0380. **Risk Treatment Plan**. A risk treatment plan (RTP) is an essential part of the risk management process. It provides the record and documentation of the risks identified, assessed and the response planned. An RTP is a mandatory document of the process. ISO 27001 is a good reference in creating an RTP. It is worth mentioning that RTP's must be appropriate to your organization. The RTP includes a risk treatment schedule. The purpose of the schedule is to plan for the implementation in terms of responsibility and timings. The form includes the following data at a minimum; risks in priority, treatment options for each risk, risk ratings after treatment, who will implement the treatment, timetable.

0381. The intent of doing the RTP is to enable program success. The plan specifies what should be done, when should it be done, who is responsible in implementing the actions, and the funding required as well as the source of the funds required to implement the plan. Every root cause or risk identified must have a specific type of mitigation and the details of the mitigation action should be described. The actions should be realistic, achievable and measurable. The RTP answers the question *"How can the risk mitigation be implemented?"*. It usually contains important milestones needed in the monitoring of the effect of the response on the risk.

0382. Implementing the RTPs requires a management system incorporated in the strategy management process that monitor and review the performance of the risk management system and potential changes affecting the strategy.

RISK TREATMENT PLAN				
RISK	(Identify the key risk indicator and its description)			
STRATEGIC OBJECTIVE	(Identify the strategic objective KRI supports and aligns to)			OVERALL RISK LEVEL
STRATEGIC PROGRAM	(Indicate the key initiative or program being implemented)			(Color of risk)
OPR	(State the office with primary responsibility for the program)			
RISK TREATMENT	REASON/S FOR SELECTING THE RISK TREATMENT	EXPECTED RISK RATING AFTER TREATMENT (HIGH/MEDIUM/LOW)	RESIDUAL RISK AFTER RISK TREATMENT	
(Type of response)	(Reason behind the choice)	(What is level of residual- color)	(Identify the residual risk)	
DELIVERABLES		TARGET DATE	AMOUNT	FUND SOURCE
(Actions or milestones to be undertaken for the risk response chosen)		(Due date)	(Budget)	(Source)

Figure 3.33 – Risk Treatment Plan Template

STRATEGIC OBJECTIVE :							
What is the Risk?				How often is the KRI calculated? Annually			
What is the Key Risk Indicator (KRI)?				What is the unit of KRI used? Percentage			
What is the reason behind choosing the KRI?				Is the information about the KRI available?		When will this info be available?	
					Currently available		
					With minor changes		
					To be formulated		
How is the KRI calculated? Clarify the terms in the formula.				What data is required in calculating the KRI? Where/How is it acquired?			
Who is responsible for setting the targets?	TARGETS						
Who is accountable for the targets?	2016	2017	2018	2019	2020	2021	2022
Who is responsible for tracking and reporting targets?							

Figure 3.34 – Risk Profile Template

Monitor and Review

0383. Risk monitoring and review is the fifth step of PARM process. This process helps organizations to check if risk strategies are effective or not. This practice also can lead to identification of new risks. The results of the monitoring should be put in review and reevaluated. Risks monitoring and review may be done on a regular basis depending on the treatment plan and schedule approved by the organization.

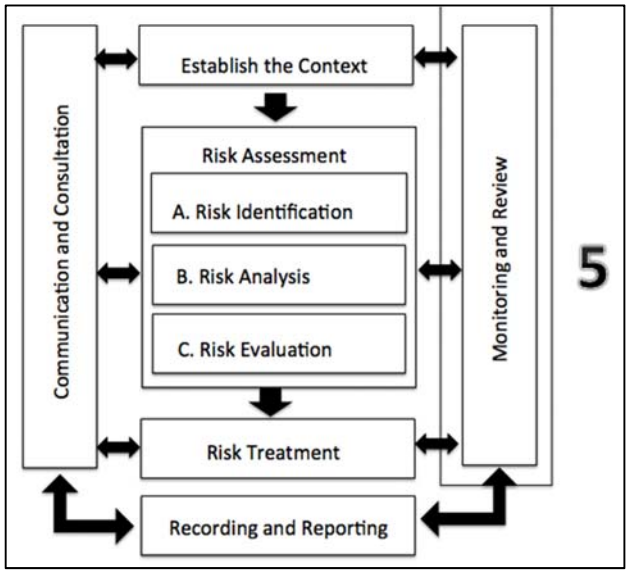


Figure 3.35 – Step 5. PARM Process

0384. Monitoring risks include looking at identified risks, residual risks, and new risks as an ongoing process during the implementation of a plan or program. Risk monitoring

answers the basic question of any changes to the risk level. The risk review on the other hand can be conducted per project milestones or at the end of the project. A review answers the question on any new risks. It is critically important that any changes and progress in the treatment plan should be recorded in the risk registry.

0385. Monitoring and review is a continuous and ongoing process throughout the risk management process. As risks change in time, monitoring the environment for new risks, as well as the performance of the current mitigation response to risks are important. The performance and changes are reported through feedback mechanisms linking steps 5 and 1 together in continuous cyclic loop. Effective communication is important to ensure understanding of the process.

Recording and Reporting

0386. Periodic recording and reporting are the last step of PARM process. The purpose of recording is to create a database of the risks and actions made while reporting and communicating is to make sure that all parties are fully informed of the existing risks. In addition, counterparts, other office heads, thematic experts and stakeholders could be engaged in the discussion and consultations during monitoring and review. A risk report may include a summary of information of project risks, latest status of the treatment, current status of project and any new or emerging risks.

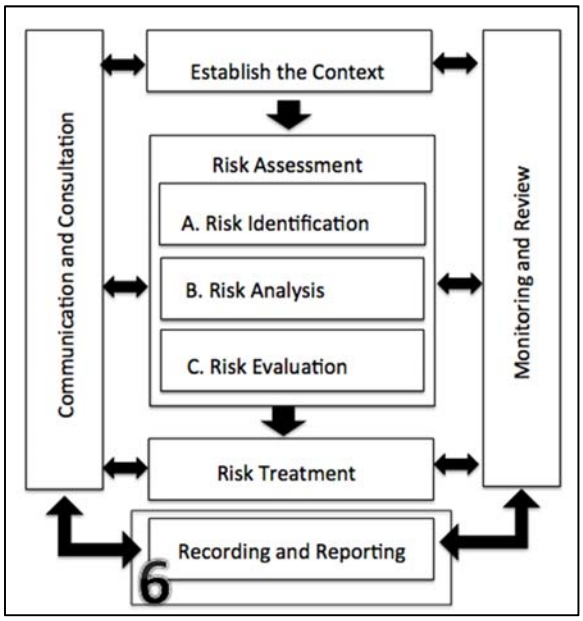


Figure 3.36 – Step 6. PARM Process

0387. The purpose of reporting is to generate decisions concerning the risks and the handling of documents recorded pertaining to the sensitivity of the information being handled. Reporting provides for a quality discussion with stakeholders as part of the governance mechanism of the office or unit. Methods of reporting and the kind of information to be shared to a particular stakeholder must be considered carefully based on appropriateness, responsibility, accountability, and other established policies. In the Philippine Army Strategy Execution Management Process, periodic reporting is done but not limited through the monthly programs review and quarterly strategy review. Offices and units may call for or established their own schedule for reporting, as necessary.

Chapter IV
Risk Management in Planning Considerations

0401. The PARM can provide guidance to members of the organization from commanders, staffs, civilian leaders, and individual soldiers on managing risks during the implementation of strategies or conduct of operations. It can be applied from HPA at the strategic level subjecting the strategic objectives and program initiatives of the different program owners, to Philippine Army Major Units (PAMUs) at the operational level in campaign designs with their lines of operations (LOOs) and lines of efforts (LOEs), down to the brigades, battalions, company operation plans and orders to include squads at the tactical level using techniques, tactics and procedures (TTPs) as their treatment plans. The individual soldiers can also use PARM in their personal scorecards to gain better results.

0402. Risk management must be embedded as part of Army culture. The proper use of the risk management process is crucial in ensuring efficient mission accomplishment. Risk management is integrated into the overall operations planning process as part of decision making for commanders based on staff estimates and analysis on identifying hazards and risks within the operational environment. This will provide better operational picture and assist in developing courses of actions as planners can present how forces can execute the mission within a pre-determined acceptable level of risk. All staffs provide recommendations or internal controls to mitigate the risks to include contingency plans.

0403. The emphasis is that risk management occurs during planning phase. The more detailed the planning, the more actions can be undertaken to address the risk. During the preparation phase, planners develop actions to control the risks and leaders make decisions to eliminate or avoid unnecessary risks. Risk managers in collaboration with safety managers have primary responsibility in the integration of risk management in the unit's planning and execution process. This includes the continuous assessment, monitoring and implementation of needed corrections. Risk managers also should document, and record lessons learned for future operations.

Levels of Risk Management

Strategic Level Application

0404. PARM at the strategic level subjects our strategic objectives and programs to the risk management process using ISO 31000 and COSO model for Risk Treatment. This process has been discussed in detail in Chapter 3.

IDENTIFIED RISK PER STRATEGIC OBJECTIVES

Strategic Objectives	Identified Risk	OPR	Risk Level	Treatment
SO1 Pursue purposive local and international engagements for capability development	**Alignment Risk** - The purpose of engagements might not be aligned with the development of landpower capability, which might render said engagement unproductive	G5	HIGH	Reduce/Active Control
SO2 Enhance efficiency of logistics and financial management systems	**Financing Risk** - Limited Capital Outlay funds intended for the acquisition of Mission Essential Equipment (MEE) for Combat Service Support Units	G4	VERY HIGH	Reduce/Active Control
	Technology Innovation Risk - Manual logistics inventory may affect the efficiency of the logistics system	G4	VERY HIGH	Reduce/Active Control
SO3 Recruit quality personnel and develop competencies for a capable ground force	**Financing Risk** - Lack of funding (or pending of approval) will mean that there is no increase in Approved Troop Strength	G1	VERY HIGH	Reduce/Active Control
	Human Resources Risk - No interest from qualified citizens due to the unattractiveness of the job would mean less qualified applicants	G1	VERY HIGH	Reduce/Active Control
	Governance Risk - Frequent changes in organizational structure would result to no finalized TOE, METL, and competency-based Job Description	G1	VERY HIGH	Reduce/Active Control

Figure 4.1 – Strategic Objectives Risk Identification Example

Operational Level Application

0405. ERM at the operational level subjects our campaign plans and concept of operations (CONOPS)/ operational designs to a risk assessment to generate risk treatments /interventions in the form of LOOs and LOEs.

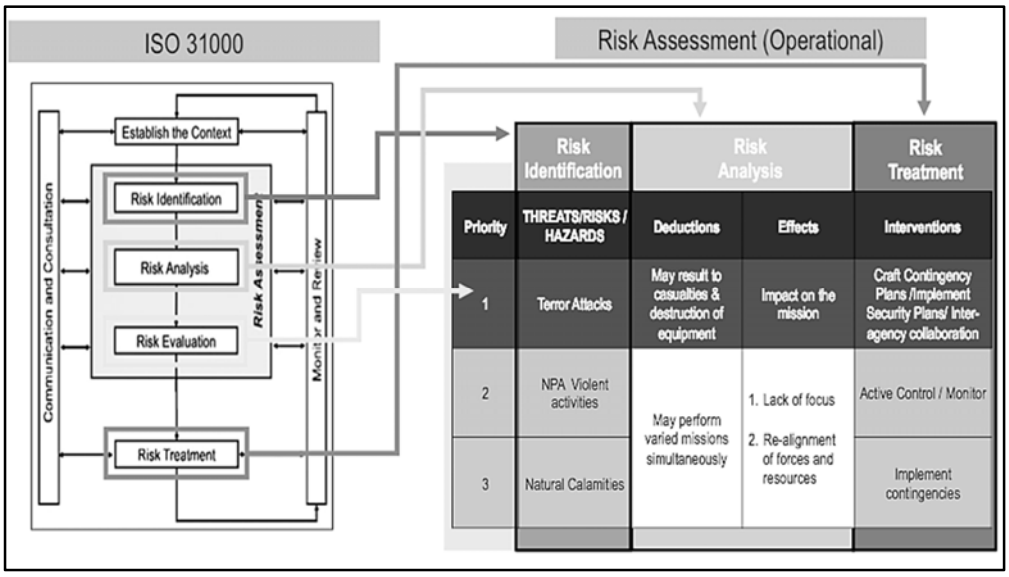


Figure 4.2 –Operational Level Risk assessment and ISO 31000

Tactical Level Application

0406. PARM at the tactical level subjects our operation plans and orders to a risk matrix to generate risk treatments /interventions in the form of tactics, techniques and procedures (TTPs).

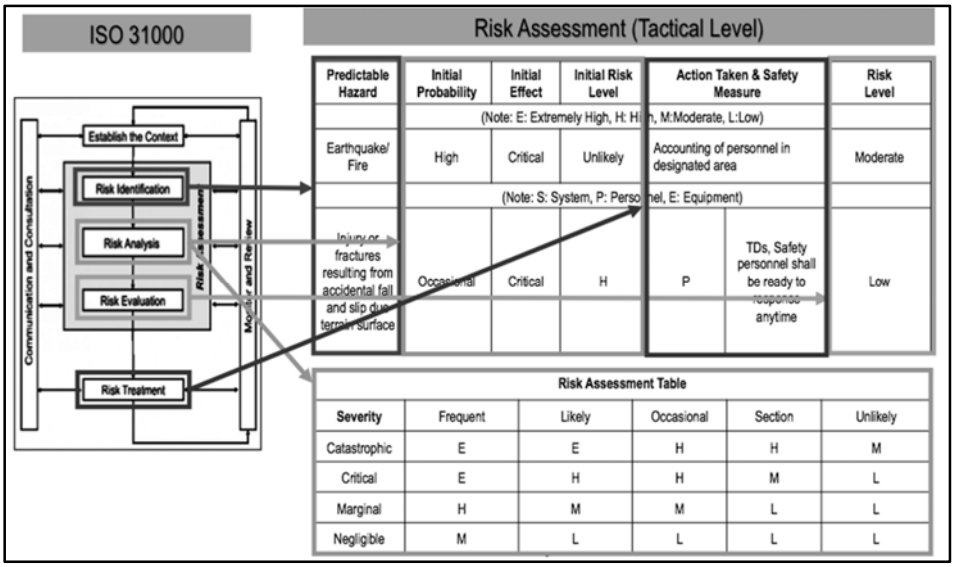


Figure 4.3 – Tactical Level Risk assessment and ISO 31000

0407. At the tactical level, conditions may require for hasty planning due to a time-constrained environment. Soldiers during the execution of an operation or a task may not be able to do a detailed mission planning to include a deliberate risk management. The steps for risk management may be shortened and start at the core of the process which is risk assessment and its three sub-steps. The steps will follow the following sequence: Step 1- is Identify the hazards; Step 2- is Analyze the hazards; Step 3- is Evaluate the hazards and develop responses or controls; Step 4- is implement response; and lastly Step 5- is Monitor and Review.

0408. The mission variables in the mission analysis under the military decision making process (MDMP) and troop leading procedures (TLP) such as mission, enemy, terrain and weather, troops and equipment, time, civil considerations (METT-TC), people, weather, enemy, terrain (PWET), or obstacles, concealment and cover, observations and fields of fire, key terrain, avenues of approach, (OCCOKA) serves as standards for identifying hazards and are taught in military trainings and education courses.

Risk Management in Troop Leading Procedure

0409. In ideal situations RM is to be applied in all eight steps of the TLP. However, the RM steps are integrated mostly on the first four steps of the TLP.

Step 1 - Receive the Mission

0410. Upon receipt of the mission, RM is performed. The risk assessment depends on the time available for mission planning. The commander may make an initial risk assessment that considers the potential for tactical threats and accidental hazards. It is important to identify potential risks to movement, execution and consolidation. Risk assessment data from higher headquarters are also included in the assessment. The essential information are included in the Fragmentary Order (FRAGO) or Warning Order (WARNO) passed from Battalion to company to platoons.

Step 2 - Issue Warning Order

0411. The frequency of the issuance of a WARNO depends on the MDMP sequence. WARNOs are often given verbally and include basic information about the plan such as situation, mission, tasks, and time. At times written WARNOs are issued with a graphic overlay. During this TLP step, Risk assessment general information on hazards should already be incorporated in the order and overlay. These may include type of hazard identified, level of the risk and controls applied.

Step 3 - Make Tentative Plan

0412. The concept of operations provides information on the mission statement and commander's intent. RM is integrated within the concept and intent. RM begins even before the execution of a mission. The commander's intent is a clear expression of the desired military end state of the operation that provides guidance to planners and subordinate leaders to act on achieving the commander's desired results. The concept of operation describes in general terms how the operation is to be accomplished by identifying all essential tasks. Planners and leaders implement and supervise needed controls to mitigate or avoid risks. They develop effective controls per given situation and ensure correct implementation.

Step 4 - Initiate Movement

0413. Movement of forces either in mass or by phase often requires synchronization and timings. Movement of troops for tactical or admin purpose are prone to many hazards, therefore rapid communication of information of risks and hazards are important. This may be done through short written messages, radio transmissions, verbal, and non-verbal means (hand signals, lights, etc.) to relay real time hazards to leaders. It is important that leaders ensure that individual soldiers understand the implication of RM in mission accomplishment. Individuals and small groups such as teams and squads may at times have to act alone in making decisions related to RM.

Step 5 - Conduct Reconnaissance

0414. This step entails responsibility of leaders to continuously gather information to improve situational awareness. The information gathered are subjected to risk assessment based on the unit's capabilities and limitations. Timely and relevant requests for information are needed to reduce risks and implement appropriate controls. During this phase, forces are usually at a preparation stage and consolidated in assemble areas making them vulnerable to enemy threats. Leaders must continually assess the risks and implement appropriate controls to counter if not avoid the threats such as screen, guards, cover, area and local security. Safety officers and security officers work in tandem with risk officers to prepare against unexpected enemy actions.

Step 6 - Complete the Plan

0415. In writing the plan, leaders must ensure that all guidance are captured and reflected in a clear and concise form. The plan must specify identified hazards, controls to be implemented, responsible unit/person for the controls, how and time to be implemented.

Step 7 – Issue Order

0416. Orders must be issued and received by all units involved in the operation. Leaders must ensure that orders are understood, and RM integrated thoroughly with the risk guidance stated clearly. Risk treatment plans may be in the form of an attachment or annex to the operations order to ensure that all critical risk-related information and instructions are addressed.

Step 8 - Supervise

0417. Supervision starts from preparation to execution of the plan. The conduct of rehearsals is part of preparations and provides invaluable help in mitigating potential hazards. Inspections also provide aid in making sure that risks are avoided. Supervision of rehearsals and inspections provides time for needed refinements and critical changes.

Table 4.1 – Troop leading Procedure correlated with Risk Management Steps

Troop Leading Procedures Steps	**Risk Management Steps**				
	Step 1 Identify the Hazards	**Step 2** Assess the Hazards	**Step 1** Evaluate and Develop Controls	**Step 1** Implement Controls	**Step 1** Monitor and Review
1. Receive the Mission	**X**	**X**			
2. Issue Warning Order	**X**	**X**	**X**		
3. Make Tentative Plan	**X**	**X**	**X**		
4. Initiate Movement	**X**	**X**	**X**	**X**	
5. Conduct Reconnaissance	**X**	**X**	**X**	**X**	
6. Complete the Plan	**X**	**X**	**X**	**X**	
7. Issue Orders			**X**	**X**	**X**
8. Supervise				**X**	**X**



Risk Management in Military Decision-Making Process

0418. This portion details the integration of risk management into the MDMP planning considerations and techniques. MDMP is a detailed planning process that aims to provide information on the situation, understand the mission, develop courses of actions, and produce operations orders. Commanders and staffs are primarily responsible in identifying hazards in each of the MDMP steps. Commanders and staff determine existing and potential hazards through each sequential steps of the MDMP.

0419. Effective implementation of risk management during Army operations requires its full integration into the MDMP process. While normal procedures would dictate that RM start during mission analysis, commanders and staffs can actually begin risk identification upon receipt of the mission. Commanders and staffs adopt RM to identify, assess and control hazards that may affect operations and readiness. Army leaders must also continuously monitor the effectiveness of these controls.

Table 4.2 – MDMP Steps Correlated with Risk Management Steps

MDMP Steps	Risk Management Steps				
	Identify Hazards	Assess Hazards	Develop Controls	Implement Controls	Supervise and Evaluate
1. Receipt of the Mission	x				
2. Mission Analysis	x	x			
3. Course of Action Development	x	x	x		
4. Course of Action Analysis	x	x	x		
5. Course of Action Comparison			x		
6. Course of Action Approval			x		
7. Orders Production				x	x

Step 1 - Receipt of the Mission

0420. Commanders must have a thorough understanding of the mission. Missions are given in formal, written orders or through verbal and non-formal communications. Commanders upon receiving a mission must analyze it and assign subordinate leaders with their missions/ tasks. In doing so, commanders must consider RM concerns such as:

a. **Risk Tolerance-** the level of risks the responsible commander determines as acceptable.

b. **Mission Variables**- additional assets or resources needed to mitigate the risks such as intelligence, reconnaissance units, etc. based on METT-TC factors.

c. **Controls given by Higher Headquarters**- identify controls related to the execution of the mission such as constraints and limitations, coordination, fires, equipment, manpower, etc. and its effect on the mission.

d. **Coordination of controls with other units –** determining the method and time for the control and its implementation as well as communication with units performing the control and other units involved.

Step 2 - Mission Analysis

0421. During this step, risk managers focus on identifying and assessing hazards. Commanders and staffs integrate RM considerations into mission analysis as they develop situational awareness. Staffs identify any changes to the original WARNO and confirm with higher headquarters on specific hazards and controls.

0422. The mission analysis step includes RM considerations based on the risk assessment steps for every sub-step such as in IPB where Intelligence officer, staffs and safety officer participate in developing an understanding of all factors related to enemy, weather, terrain, and civil considerations that may affect operational effectiveness. Staffs conduct detailed analysis such as in determining tasks, identifying array of forces, determining constraints and limitations as well as facts and assumptions to make sure that all hazards to the overall mission are address and provided with specific controls. A consolidated matrix such as a risk assessment matrix can be used to display a quick look guide on all staff running estimates and Risk Assessment to help synchronized the overall RM effort.

Step 3 - 6 Course of Action Development/ Analysis/ Comparison/ Approval

0423. In these steps, risk managers begin to develop controls and propose risk decisions. In this step, planners consider the effect of each control and the residual level of risk after controls are implemented. Recommended controls may come in the form of education or awareness such as information drive, TI and E; Physical control like setting barriers, posting guards, or designating specific control officer; Hazard Elimination control such as doing engineering works to remove hazards or construct protective barriers, use of Personal Protective Equipment (PPE) for HAZMATS handling, and the likes. Using the SFADC (Suitability, Feasibility, Acceptability, Distinguishability and Completeness) criteria, Courses of Actions (COAs) and controls associated with each risk are evaluated.

0424. In like manner, the eight subordinate processes or sub-steps of COA development are also subjected to RM considerations. Planners look at possible weaknesses in assessing combat power that may transform as hazards or vulnerabilities needing RM. Planners then generate options and controls to prevent situation from deteriorating and sustain combat power. In the array of forces, if planners identify lack of forces or capability to execute the mission, they may apply controls to reduce the

risk such as requesting for additional forces, adjustment to timings, phasing, or changes to the area for reduced exposure to risks.

0425. In crafting the COA statement, risks are focus on overall risk. During COA brief, commanders may require a risk statement paragraph after each of the COA presented to give them enough information on areas that may require additional consideration. Once the commander has accepted a COA or developed a modified or new COA, analysis begins again where the staff incorporates guidance and RM considerations on the COA accepted.

Step 7 - Orders Production

0426. Soldiers implement missions in the form of orders. Primarily orders are disseminated through a written OPORD, which are them translated into briefings and guidance to make sure subordinates fully understand the mission and controls when implementing the order. This includes the integration of RM into the plan with the risk guidance clearly stated. A separate attachment or annex on risk management to the OPORD is a good example. Army leaders must ensure that control is implemented and performed according to standards to achieve the desired effect. They supervise lower echelon leaders and identify weaknesses to make necessary adjustments or changes to the plan.

Chapter V
Risk Management Application

Strategic Objectives and Programs

0501. Risk Management is a process of identifying, assessing, and controlling any risk that may affect the organization's strategy and attainment of strategic objectives during strategy execution. Risk Management at the enterprise level, when focused and aligned with the organization's strategic priorities, would provide the greatest benefit to the organization. Priorities have the tendency to change from time to time and, if not treated with a risk management plan, may result to reactive efforts, misaligned strategies or compliance-focus decisions.

0502. The PA SEMP provides for a linear and analytic process of understanding how RM is applied throughout the strategy execution process. When dealing with risks at the strategic level, the question of risk plan ownership and the overall monitoring, reporting, and accounting of treatments may arise. Hence, risk awareness and risk culture development in the organization's leadership is important. The institutionalization and operationalization of ERM needs to be integrated into the organization's programs and strategy review mechanisms. The integration will ensure alignment with risks and risk treatment as key elements in strategy are being discussed.

0503. It is recommended that for risk management of strategic objectives and programs to be successful, close coordination between program owners and risk managers be established to facilitate sharing of critical risk information across the organization. The process begins with a clear understanding on what is the strategic objective and the initiatives or programs that will run that objective. It is often noted that initiatives and objectives may have gaps in between and thus affect the alignment of the strategy, which are primary reasons for failed strategies.

0504. There are several factors to be considered in doing risk management at the enterprise level. These are the following:

a. **Common Language**. Risk management planners and strategic objective owners must first agree on the operational definitions and terminologies to be used throughout the strategy execution. Other risk assessment concepts and methodologies such as impact and probability matrix, risk appetite and tolerance, risk dictionary and risk rating criteria should be shared and clearly understood. The language use should reflect the organization's culture and customized to fit its specifications.

b. **Risk Inventory**. The organization should maintain a risk inventory through a Risk Portfolio and Database of risks. It should reflect current strategies or enterprise the organization is undertaking. The ATR is one such enterprise. Additionally, the risk inventory should be periodically visited and updated as new risks are identified and treated.

c. **Risk Assessment Criteria and Prioritization**. One of the most important element of risk management is that of prioritization of risk. Risks rank as those needing executive attention should be viewed as critical to achieving strategic objectives. The criteria scales should reflect the impact factors (financial, operational, reputational and others) relevant to meeting the desired strategic objectives. An honest review of the organization's capabilities can make treatment plans more positive by looking at ways to improve specific categories such as policy, process, and people.

d. **Risk Plan Development**. Risk plans should clearly explain the risks, the root causes, impact and consequence and the current strategic initiatives to control the risk. It is equally important that the appropriate time-bound deliverables to manage the risk and other support requirement are articulated in the plan.

e. **Post Assessment and Evaluation**. Review of responses or treatments done on the risks are essential to analyze its effectiveness and look for possible new risks that may arise. Likewise, residual risks should be monitored for changes in its level.

f. **Monitoring and Review**. Everyone is encouraged to be risk managers and perform monitoring of risks. The output of a post assessment and evaluation is a risk report. The monitoring and recording of risks based on the risk plans should provide a clear link between strategic objectives and initiatives and the risk profile.

g. **Recording and Reporting**. Risks monitored and **re**viewed should be recorded. All changes in the status of risks should then be reported periodically to concerned authorities for appropriate decisions to be made to address any changes. The reports generated are shared to other stakeholders and if needed communicated to area experts to gain more insights. Executive board is also informed of the status monitored for further appreciation.

h. **Communication and Consultation**. Risk Management is everyone's concern. Hence, the ERM program, its plans and other relevant information should be shared between the ERM Team and the Project Management Teams. The data and information on risks assessments and responses may require additional fund and resource allocation that should be discussed and agreed by both parties. When necessary, further consultation with industry experts may be done to get professional advises or information.

i. **Training and Awareness**. This provides an opportunity to reinforce desired risk awareness behavior and culture within the organization. Risk Management trainings should gradually shift from how to do risk assessments to how to integrate risk management information and capabilities into risk decision-making capacity building. Organization members and leasers should understand risks posed as a threat to the organization's goals.

0505. Maintaining a strong understanding of the Army's strategy and its objectives is critical to arriving at our desired vision of being a World-class Army and Source of National Pride. It is important to remember that the Army is an organization whose

profession by nature is considered as high risk unto itself. It would be wrong to assume that just because we face risks on a day-to-day basis that the organization is already adept at managing risks. Although we may have some processes in place, however, risk management at the enterprise level involving strategic programs of the organization requires a different level of response and expertise.

Basic Occupational Safety and Health

0506. The PA has always prioritized the prevention and elimination of injuries, sickness, and loss of lives among its personnel at the workplace or areas of operations. The implementation of safety protocols in the form of policies, SOP's, and instructional manuals are considered as paramount to keeping a safe and healthy working environment. The institutionalization of occupational safety and health hazard risk management will seek to protect valuable human asset and materiel against injuries, accidents, and losses. It will increase survivability of personnel and create positive organizational performance against current and future threats.

0507. Republic Act 11058 dated 24 July 2017 is the primary source of reference in promoting and advocating the safety, health, and welfare of all Filipino workforces. The law provides for the protection of persons against risk to safety or health in relation with the activities at the workplace and the prevention of damages to property by identifying, assessing, and removing or reducing all possible risks to safety and health.

0508. The Philippine Army Safety Policy approved last 14 September 2019 (see Annex) firmly shows the organization's commitment on the need to institutionalized safety and health risk management that will contribute to the overall wellbeing of its personnel and further sustain the force. The directive applies to all personnel of the Army and extends to all units and offices of HPA, PAMUs and including CAFGU units.

0509. As stated in the policy, the spheres cover the areas of Health, Fire, Electrical, Use of Machines, Handling of Chemical and Biological Materials, Equipment and Engineering works, Traffic and Transport, Weapons System and Defense equipment operation, Conduct of Trainings, and Natural and Man-made Disasters.

0510. Risk management for safety and health hazards focuses on prevention of accidents and illness at work. This involves the designation of a responsible safety officer or creation of a safety body that will oversee the implementation of the work safety plan of the unit. The overall responsibility shall remain with the commander or head of office.

0511. The practical application of RM for occupational safety and health hazards is detailed in the PA Safety Policy. The RM steps have been modified to start with the Risk Assessment and its sub steps. Hence, as indicated in the policy the following steps can be adapted for health and Safety RM:

a. **Step 1-** Identify Hazards

b. **Step 2-** Assess Hazards

c. **Step 3-** Develop Controls, determine residual risk, and make risk decision

d. **Step 4-** Implement Controls

e. **Step 5-** Supervise and evaluate

0512. The job description of safety officers may include creating, implementing and updating work safety programs for personnel that covers government health and safety codes and regulations and the organization's internal policies, SOP's and standards for workplace safety and health. To some extent, it may require the conduct of training and education to personnel on the necessity of safety on the job.

0513. Among the duties and responsibilities of a Safety Officer are the following:

a. Constant monitoring of safety violations and investigating causes of accidents

b. Assessment of risks and other possible safety hazards of all aspects of operations and activities

c. Inspection of equipment, keeping equipment safe thru preventive maintenance, ordering repairs for unsafe/damage equipment

d. Creating safety plans to include improvements on current plans

e. Conduct of meetings on health and safety goals, sharing information on safety standards

f. Participating in continuing education and knowledge updates on health and safety management

Army Operations

0514. For RM to be successful, it must be embedded in the Army culture and the chain of command. Military leaders should make it his responsibility and priority to minimize risks and eliminate unnecessary risk. However, both leaders and soldiers at all levels are responsible and accountable for managing risks by ensuring that hazards and other associated risks are clearly identified and controlled according to standards. The objective of RM is not to remove all risks in its entirety, but to eliminate unnecessary risks. Military operations are not free from risks, defects, or flaws. A zero-defect mindset of leaders may result to paralysis with leaders unwilling to make tough decisions when needed. Leaders and subordinates accept that there are inherent risks associated with all military operations as part of mission requirements.

0515. Paragraph 6F of the 2019 PA safety policy describes the Army policy on devising and integrating risk management in the crafting of military plans and other related military activities and engagements. The policy also takes into account not only the safety of military personnel in combat operations but also other people who may be affected by Army operations and activities.

0516. RM can be applied to a wide range of Army operations and activities to conserve combat power and available resources. The demands of Army operations including military trainings and most especially combat operations are complex and require

leaders to make informed and educated decisions. Commanders and staffs should make risk management a routine part of their planning process and throughout the preparation and execution of orders and everyday tasks.

0517. There are two types of risks that exist across the range of Army operations. These are categorized as tactical risks and accident risks. Tactical risks are those concerned with hazards posed by enemy presence, actions, and counter actions. Accident risks on the other hand are those involving operational hazards other than tactical risk. They include risks from friendly forces, civilians, natural environment conditions, personnel, and equipment readiness.

0518. The RM steps applied are similar to the safety and health RM. Steps 1 and 2 involve risk assessment (Identification and analysis based on impact to the operation). Step 3 requires the identification or appropriate control balancing them against costs on the PESTELM factors and to combat power. It ends with a decision on what control to implement. Step 4 involves the issuance of appropriate orders with the controls fully integrated in the written and verbal orders thru OPORDS, SOP's, and briefings. The last step is to supervise and evaluate. Leaders ensure mission rehearsals and executions apply standard compliant controls. The responsible risk officer guard against complacency and violation of measures. They also continuously evaluate the situation and modify controls when necessary to keep risks at acceptable level and maintain situational awareness.

0519. The factors enumerated in METT-TC provide for a good basis for identifying hazards for Army operations. Planners must look at both tactical and accidental hazards that may pose significant risk to the mission.

a. **Mission**. Identify the type of mission and level of risk. Consider the complexity of the plan and possible follow on missions.

b. **Enemy**. Intelligence information plays a vital role in looking for hazards on enemy factor. Planners look at enemy capability that can make friendly forces vulnerable. Determine ECOAs and most dangerous COAs. Consider other threat groups in the area that may pose significant threat to the forces.

c. **Terrain and Weather**. One of the most common hazards to military operations is terrain and weather. Both factors can be use by friendly forces and the enemy to their advantage causing hazards to the other. The OCOKA aspects of terrain can also be used to detail the hazards that may affect combat capabilities and concept of operations. Terrain and weather can also cause accident risks. Likewise, prolonged exposure of troops to adverse weather conditions and rough terrain can cause a decrease in combat effectiveness of both personnel and equipment.

d. **Troops**. Planners assess warfighting capability of troops, manning of units, strength, equipment readiness and morale. Mission failure can be cause by hazards to physical and emotional health of soldiers, poorly planned task organization, administrative requirements for personnel movement, replacement and reassignments, experience, and morale.

e. **Time**. Leaders consider time available to plan and execute the mission. Usually, the one-third/two-third rule apply for ensure subordinates have ample time to plan and prepare. Shortage of time can be a hazard as it may result to poorly planned operations.

f. **Civilians**. The Laws of War and the Geneva Conventions covering IHL and respect for Human Rights govern all military operations. Military commanders adhere to this legal responsibility and consider hazards pose on the civilian populace by Army operations. Both in peacetime and wartime environment, commanders look at possible collateral damage, unrest, accidents, opposition to military presence and operations. These hazards may disrupt planned operations and cause organized riots and opposition against the military unit and pose as danger to lives and equipment of personnel. Other civilian players in the area may include gangs and criminals that could harass military personnel performing missions.

   Another aspect for consideration on civilians is the indigenous population and their culture. Understanding their way of life, values and local customs is necessary. Interfering with IP's without their consent may result to instability of the local environment and damage relationship.

   When integrating RM into sustained operations, commanders and staffs must consider the increase in operational tempo, cycle of personnel turns over and reassignments of personnel, critical skills migration or losses, and possible new missions in the near future.

Disaster Risk Reduction and Management

0520. The Philippines is one of the most disaster-prone countries in the world. It has a long experience in responding to natural calamities. In 2005, it shifted its approach from disaster preparedness and response to disaster risk reduction and management (DRRM). This shift also changed the way the public and government treat and respond to current and emerging disaster risks.

0521. On May 2010, the Philippine Disaster Risk Reduction and Management Act (RA 10121) was passed into law, which recognized the need to **"adopt a disaster risk reduction and management approach that is holistic, comprehensive, integrated and proactive in lessening the socio-economic impacts of disasters."** The Act provides for developing policies, measures good governance, risk assessment, risk reduction, effective risk response, early recovery, training, and awareness, among others.

0522. As the country is faced with complex number of natural and man-made disasters and climate risks, it is imperative to generate multi-stakeholder partnerships and strong institutional mechanisms and processes to create safer and resilient communities. According to the National Risk Reduction and Management Framework, a proactive and preventive approach to disaster management is needed. The DRRM framework shows that mitigating the potential impact of risks and preventing hazards from becoming disasters and being prepared will substantially reduce the loss of lives and properties and damage to the socio-economic and environmental assets.

0523. Natural disasters such as typhoons, thunderstorms, earthquakes, and volcanic eruptions among others are the most common form of disaster the country faces. Climate risks have added to the lists with exposure to super typhoons, El Nino, La Nina, and effects of climate change. However, aside from these, the Philippines have also been vulnerable to human–induced disasters. Political and social issues have risen to internal conflicts causing internally displaced persons and affecting the economic development programs of the country.

0524. Consistent with the steps on risk management, the disaster risk management approach would also require an emphasis on communication and consultation same with Step 1 of PARM using stakeholders to synergize efforts. The effectiveness of the DRRM relies heavily on the strong support and ownership of the leadership and participation of its multi-sector partners. One of the tenets of the PA DRRM operations is Inter-Agency Cooperation. Disaster risk reduction involves various agencies and organizations needing to achieve a common goal. The pursuit of engaging and consulting stakeholders from the national societies, governments, NGOs, IGOs, academes and the community shall facilitate and complement the vision of attaining disaster resilient and safer communities.

0525. The conduct of DRRM needs a holistic approach and the Army in most cases will be tasked to work with other organizations as well. The Army and the AFP can provide for planning, logistics support, manpower mobilization response, training and equipment and command and control facilities. As such, the military is an important stakeholder element in the overall disaster risk management efforts.

0526. The paradigm shift to disaster risk management also means refocusing of goals, objectives and targets to adequately manage disaster risks through the systematic integration into policies, plans and programs of the organization, which is similar to establishing the context of Step 2. It is important that organizations review its outlook and understanding of disaster risk management approaches starting with its vision for a safer, adaptive, and disaster-resilient community and integrating sustainable development within its efforts.

0527. One of the key policy documents that the National Disaster Coordinating Council (NDCC) Four Point Plan for Preparedness produced in 2008 was the "*Preliminary Assessment of the State of Disaster Risk Management in the Philippines."* The paper serves as a benchmark on current efforts to reduce disaster, identify the gaps, issues and opportunities and develop action agendas that would require attention and resources. The study reviewed the internal and external environment and identified various efforts by stakeholders and government to streamline and strengthen the national strategic plan on DRM.

0528. Step 3 of PARM is Risk assessment. In disaster risk management operations, risk assessment is embedded in the planning process. Effective DRRM operations enable risk managers to identify and foresee most likely events and hazards, conduct analysis, and determine appropriate response of measures to prevent and mitigate and to cope with its effects. The two types of planning are pre-disaster planning and response planning. Pre-disaster planning is conducted in preparation for a disaster and is similar to contingency planning. Response planning is done to address situations that were not foreseen or newly develop risks. During this situation due to time constraints,

hasty planning may be more suitable. The MDMP steps earlier discussed for Risk Management will also apply for DRRM operations.

0529. To have better chances of achieving our goals on DRM, we need to consider disaster risk planning as an integral part of the development process. The direct correlation between economic losses due to disasters and the limited efforts on disaster mitigation are undoubtedly clear. However, most often LCEs only think of early warning, preparedness trainings and response but not on identifying the underlying causes of disaster-related risks. The identification of root causes of some human-induced and natural disasters such as unplanned urbanization, ecosystem degradation, vulnerable livelihood and peace and order have not been taken into consideration into the national and local plans before. Relatedly, the creation of a disaster risk profile is important to arrive at key strategies to reduce the effects and increase resiliency to disasters.

0530. In the context of developing risk response and treatment plans as embodied in Step 4 of the PARM process, it is imperative to ensure that risk management is integrated into the development plans of the LGUs. Various areas of concerns such as social development, agriculture, environment, and natural resources have become a cross-cutting theme in developing adaptive capacities of communities to cope with environmental hazards and climate related risks. Thus, DRRM councils must fully understand their roles and responsibilities and know their disaster response capabilities and limitations. In planning treatments and response, DRRM organizations shall provide for clearly defined goals and roles for each agency and DRRM member to ensure that all efforts are geared towards the management of risks and hazards. A proactive orientation with emphasis on mitigation should be undertaken.

0531. A lead agency concept in the cluster approach can transform standard organization response to functional groupings. Clusters with specific specializations can work collaboratively to plan and response to risks based on their expertise. The Army adheres to this concept and adjusts accordingly while maintaining its unique internal command and control and chain and command functions.

0532. While the role and contribution of the Army in responding to disasters have been well recognized, the organization can provide greater assistance in the preparation of effective disaster response and mitigation plans. Military units should be involved at all levels of disaster risk management planning with the civil authorities across the full spectrum of DRRM. Likewise, Army units assist in the conduct of public awareness, education and advocacy, search, rescue, retrieval, evacuation, relief and medical assistance, rehabilitation, rebuilding and restoration activities of vital facilities, infrastructures and even governance normalization.

0533. In all kinds of plans and strategies, the conduct of monitoring and review involving evaluation of actions and responses is a critical element of the process. Step 5 of the PARM process covers this area. The steps undertaken on DRRM should be reviewed and its effectiveness assessed. After activity reports and other similar post-activity reviews can be undertaken and submitted to the concerned authority. The output of the monitoring and evaluation is presented to the DRRM council and LCEs, which could then be used to improve policies, legislations, regulations, mitigation projects and infrastructures, restricting of organizations, improved capability trainings and

equipment, and implementation of better programs. Problems and difficulties encountered could then be addressed to prevent it from repeating in the future. Post-response planning could be done to address the inadequacies of previous plans and responses.

Chapter VI
Sustaining Philippine Army Risk Management

0601. There are several factors that may cause any initiative, program, or process to fail or potentially affect the continuity and delivery of the desired outcome. Hence, it is important that sustainability should not be neglected even in the risk management discipline. In order for risk management to enhance the Philippine Army's ability to deal with risks and uncertain future, improve decision-making, and increase reliability to achieve its plans and programs, it should be able to address the pitfalls of risk management in the organization.

Measures for Sustainment

0602. Following are some suggested measures for the organization to undertake to ensure sustainability.

Ensure Leadership Buy-In

0603. Risk Management must be appreciated by leaders for it to be successful. It is important that those running the organization are committed to implementing the process and proactively engage in managing risks. Similarly, buy-in must be achieved across all levels of the organization. Leaders must ensure that everyone understands the importance of risk management and why it is implemented in the organization.

Remain in Control

0604. There are no risk-free strategies and organizations. Even the military organization is bound to make errors in planning and strategies. It is therefore important for senior leaders to remain in control of the situation while recognizing that the future is inherently uncertain and too complex to predict with 100% accuracy. Nevertheless, senior leaders must retain control and show courage and honesty in accepting reality. Instead of maintaining the illusion that everything is under control when things are not, with programs and projects not moving, managers should be able to have full grasp of the latest status and preserve value for the organization.

Create the Right Culture

0605. One pre-requisite for effective risk management is for leaders to lead by example. Risk management is everybody's concern and developing the right culture towards risk awareness in the organization is important. Equally important is that the organization develops a culture of responsibility to report or communicate any observations and changes in the programs. The Philippine Army should encourage open discussions, and learning from mistakes and errors rather than seek blame and render punishment. This punitive practice has negative consequences as personnel will develop a behavior of avoidance and self –preservation, and prefer to keep issues quiet by not reporting them for fear of being blamed.

Use Suitable Rewards System

0606. Using suitable rewards to compensate commitment and dedication is a good strategy to sustain interests and motivate personnel in pursuing the desired objectives. A reward system will greatly encourage behaviors in the desired direction consistent with the interest of the organization.

Conduct Training and Awareness

0607. This provides an opportunity to reinforce desired risk awareness behavior and culture within the organization. Risk Management trainings should gradually shift from how to do risk assessments to how to integrate risk management information and capabilities into risk decision-making capacity building. Organization members and leaders should understand risks posed as a threat to the organization's goals. The conduct of risk management trainings and cascading them across the organizations ensures a steady pool of risk managers and will help spread appreciation on the need to be alert and aware of risks that may affect the organization.

Develop an Integrated Information Management System

0608. Senior leaders often receive reports in multiple forms regarding risks levels, risk exposures, and other risk analysis data. It would be beneficial for the Philippine Army to develop a single integrated information management system to create a shared view of the extent of previous periods and forecasts of next period. The monitoring, recording, review and reporting of data can be done through the use of contemporary information system tools. The I-Perform under the PA SMS is an ideal tool to incorporate risk management to develop a robust capability of reducing uncertainty for decision makers.

Institutionalize the Process

0609. In order to sustain the process and its practice; the organization must institutionalize its implementation. The crafting of risk management policies that would demand compliance and provide guidelines in its implementation is the first step. Additionally, a risk management organization is needed to implement the policy. This can be done by assigning personnel in-charge of its implementation by teams or committees. As stated in the risk management process, part of institutionalizing risk management is the conduct of recording and reporting. By establishing periodic reporting, the organization would be able to guarantee that risk management is continuously implemented and reviewed. Implementing risk management is a continuous process of reviewing and reporting. It is necessary that even without any new threats monitored, risk registers and treatment plans are regularly checked and keep up to date. Risk management empowers the organization to improve its performance and governance in an unpredictable operational environment.

Empower Your Personnel

0610. To truly sustain the implementation of risk management, organizations must share the responsibility with its personnel. Aside from training and imparting

knowledge to front-line Army personnel and civilian human resource, they should be able to identify risks in their everyday work and make risk intelligent decision to prevent work injuries, formulate solutions and properly protect themselves and programs on a daily basis. Allowing personnel to participate in identifying everyday risks and hazards in their working environment would empower them to actively participate and create this mid-set of a risk-aware culture where all stakeholders acknowledge the importance of monitoring and managing risks. Risks can have economic and reputation consequences as well as in society and the ecological environment. With everybody as a risk manager, it will help the organization effectively perform in an environment full of uncertainty.

Risk Management Review Procedure

0611. As part of sustaining risk management in the organization, the Philippine Army should also conduct a periodic review of how risk management is being implemented in the organization. This must be integrated as part of its system of governance and management. It is not enough that the organization review and report risks on individual aspects of each strategic objectives but it is also necessary to gauge how well the process is understood, accepted and implemented throughout the organization. The key to a successful sustainment lies on how strongly key stakeholders are engaged and involved in the facilitated review, identification of gaps, evaluation, and developing of change plans to enhance risk management performance in the organization.

0612. Below is an example of a risk management review procedure in an enterprise level adopted from Broadleaf Capital International. The risk management review procedure has six steps as follows:

a. **Preparation**. Establish agreement on the need to conduct the study and arrangements required on who will compose and conduct the study, the schedule of activities, date of reporting, documents needed to be reviewed and people to be interviewed, and other logistic, administrative, and technological requirements.

b. **Elicitation, verification, and feedback**. Conduct observation in actual practice of risk management in the organization during programs review and strategy reviews. In this step, interviews of senior leaders and risk managers on their views and perception of how risk management is being undertaken in the organization. This step aims to determine the attitude, level of maturity and areas of suggested improvements by the concerned staffs.

c. **Analysis and report**. This step focuses on document analysis of existing risk management documents. This will look into the effectiveness of how risk management tools and existing controls are deemed relevant and contribute to the management of risks. Using all available information, a gap analysis is also conducted to compare current approaches with industry standard established principles and frameworks on risk management.

d. **Report review and revision**. At this stage, all reports are consolidated and fine-tuned with necessary revisions based on inputs from the study group.

e. **Executive input and enhancement planning**. This is an initial draft report where identified opportunities for improvement to the organization's current implementation strategy are incorporated. Recommendations on how it can be improved are presented trough a draft enhancement plan with actions required to bring risk management to a best practice standard. It is important that senior managers/leaders share inputs in the findings leading to the draft enhance plan. This consultation should take place prior to presenting the final report to the Board Audit Committee members.

f. **Presentation to Board Audit Committees**. At the end of the process is the presentation of the review findings, conclusions and the enhancement plan to the risk management committee members.

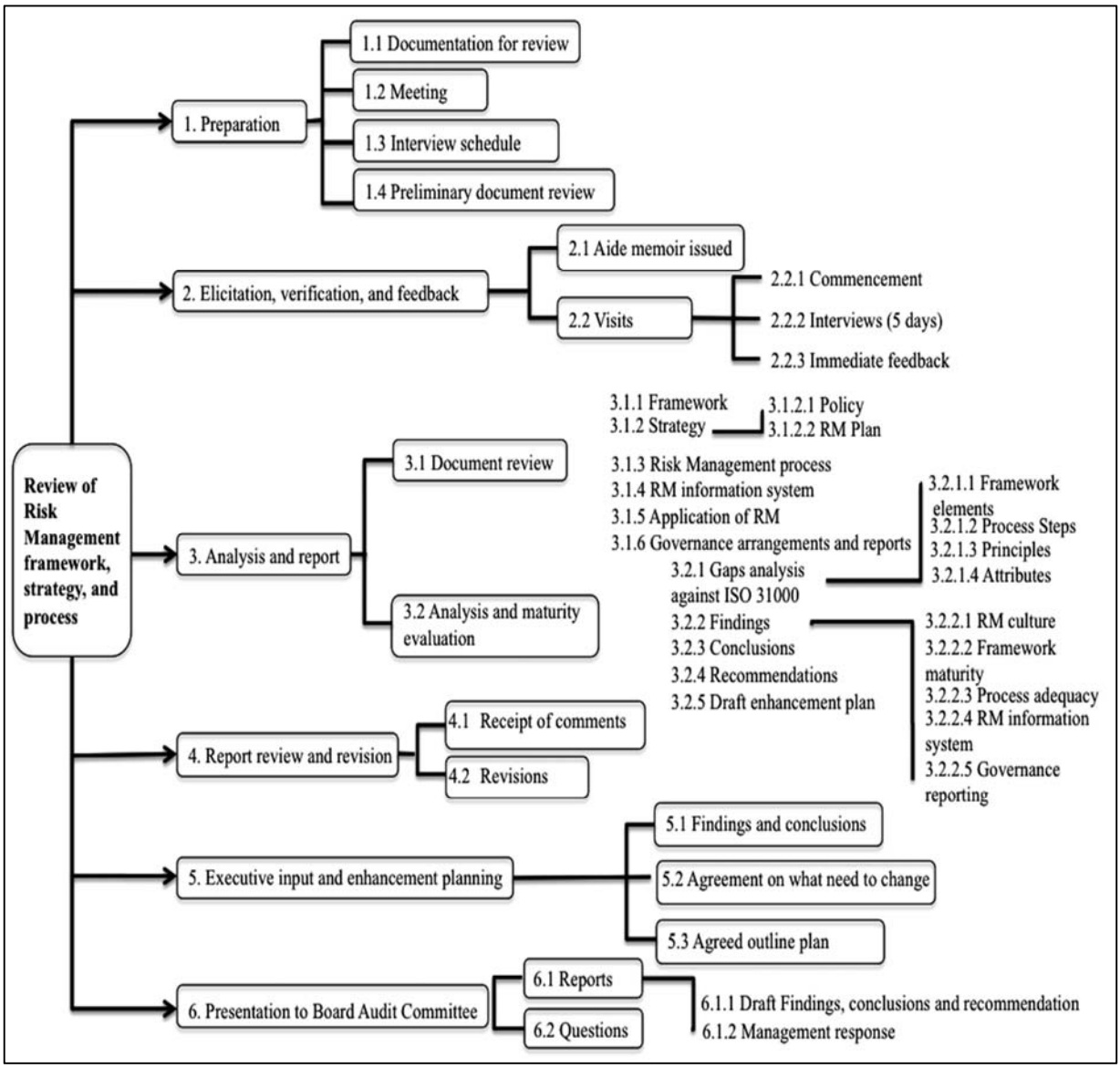


Figure 6.1 – Broadleaf Capital Risk Management Review Procedure

Annex A
Risk Dictionary

Risk Category	Risk Indicator (Domain)	Risk Scenario (Description)
Policy	Political Risk	Political climate is not aligned with the strategic direction of the Army
		Budget cuts which may stall operations and other activities
	Partnering Risk	Ineffective external partnerships
		Poor execution of external partnerships
		Failure to capitalize on other possible opportunities
	Legal and Regulatory Compliance Risk	A counterparty to a transaction will not be liable to meet its obligations under law
		Legal and administrative hurdles caused by inability to abide the law
	Operations Measurement Risk	Erroneous assessment of and conclusions about operational performance
		Unrealistic or irrelevant non-financial measures
	Budget and Planning Risk	Inappropriate financial decisions resulting from unrealistic and complicated policies
	Resource Allocation Risk	Lacking or ineffective policies to help assess whether resources are allocated optimally or not
		Failure to channel resources towards opportunities that balance risk and reward
	Alignment Risk	Conflicting and uncoordinated activities due to failure to align strategic objectives and performance measures throughout the Army
	Fraud Management Risk	Non-existent or inadequate policies on managing and preventing instances of corruption may cause operational setbacks
		Disappointment from external stakeholders due to non-existent or inadequate policies on

		managing and preventing instances of corruption
People	Human Resources Risk	Lack of required knowledge, skills, and experience of personnel
		Low personnel morale
		Low productivity
		Ineffective manpower development strategies
		Incompetent rewards system
	Cultural Risk	Inability to attract potential members due to a lack of understanding of local culture
	Customer Satisfaction Risk	Insufficient capacity to meet or exceed clientele expectation
		Lack of focus on customers' demands and needs
		Any event or action injurious to the reputation of the Army
	Governance Risk	Backlash resulting from military culture
		Ineffective lines of authority
		Ineffective leadership
		Conflicting interests across all management levels in the organization
	Outsourcing Risk	Third parties transgressing the limits of their authority
		Third parties are not acting in line with the organization's strategies and objectives
	Integrity Risk	Staff committing illegal acts
		Unauthorized use of organization's assets
		Misstatement of financial statements
Process	Efficiency Risk	Failure to meet established targets and deadlines
		Unnecessary activities that delay operations
		Poor distribution channels of services provided
	Communications Risk	Overload of irrelevant information, especially to top management

		Inconsistent messages and instructions
		Language barrier
		Lack of feedback
	Information Processing Risk	Information technologies are not operating as inteded
		Integrity and reliability of data and information are compromised
		Failure to adequately restrict access to information
	Operation Interruption Risk	Unavailability of equipment and other materials needed to support operations
		Disruption with information technologies
		Lack of skilled labor needed to continue operations
		Sudden calamitous events injurious to human resources, equipment, and infrastructure
	Project Planning and Management Risk	Unimaginative strategic planning process
		Faulty management of projects
	Knowledge Capital Risk	Absent or ineffective systems and process to capture and institutionalize learning across the organization
	Financing Risk	Insufficient money to support operations
		Inability to source money to support activities due to complicated processes

Annex B
Risk Portfolio

Part I- Risk Charter

A. PORTFOLIO AREA: (Determine the major area covered by the program owner. i.e. Education and Training, Logistics, Personnel , etc.)

B. PROGRAM DIRECTOR: (State the office with Primary Responsibility (OPR) for the Portfolio. i.e. Office of the AC of S for Education and Training, G8)

C. OFFICE FUNCTIONS (CHARTER): (Enumerate the functions of the office based on the office staff memo or other pertinent documents)

1. Xx
2. Xx
3. Xx
4. Xx

D. STRATEGIC OBJECTIVE REVIEWED: (Identify the specific general strategic objective being assessed. i.e. Strategic Objective Nr. 4 – Adopt a TD-Oriented Doctrine-Based Training Management System)

E. PURPOSE OF THE REVIEW: (Provide on or two purpose or objectives of the review. Why is it being conducted)

1. Xx
2. Xx

F. BACKGROUND OF THE PROJECT: (Provide a brief background or historical data on the how the project came about and its contribution to the overall strategy)
Xxxxxxxxxxx

G. CURRENT SITUATION: (Discuss the status of the project if it is successful or not. Identify some problems facing the project if applicable)

Xxxxxxxxxxx

Part II: Risk Management Process

1. COMMUNICATION AND CONSULTATION
(Stakeholder Analysis Matrix)

2. ESTABLISHING THE CONTEXT
(PESTELM Model)
(McKinsey 7's Model)

3. RISK ASSESSMENT

a. **Risk Identification:** (Provide a detailed identification for each risk identified in a Risk Identification Table indicating the Risk Category: People, Process, its domain and description)

Risk 1: Category: Policy
   a. Domain/Type: Alignment Risk
   b. Description: Number of policies on readiness condition specific to Army Training Unit

Risk 2: Category: Process
   a. Domain/Type: Project Risk
   b. Description: Lengthy period in writing doctrines

Risk 3: Category: People
   a. Domain/Type: Human Resource Risk
   b. Description: Lack of IDT program in their annual training program

b. **Risk Analysis:**
(Probability and Impact Matrix Table)
(Risk Assessment Table)

c. **Risk Evaluation**
(Risk Heat Map and Response. Indicate Risk Tolerance)
(Risk Assessment Table with Ranking)

4. RISK TREATMENT
(Risk Treatment Plan Template)

5. MONITORING AND REVIEW:
(Program Schedule)
(Record of Changes)

Annex C
Risk Identification Techniques

A. **Brainstorming**. When objectives are stated clearly and understood by the participants, a brainstorming session drawing on the creativity of the participants can be used to generate a list of risks. In a well facilitated brainstorming session, the participants are collaborators, comprising a team that works together to articulate the risks that may be known by some in the group. In the session, risks that are known unknowns may emerge, and perhaps even some risks that were previously unknown may become known.

Facilitating a brainstorming session takes special leadership skills, and, in some organizations, members of the internal audit and ERM staff have been trained and certified to conduct risk brainstorming sessions. In addition to well-trained facilitators, the participants need to understand the ERM framework and how the brainstorming session fits into the ERM process. The participants may very well be required to do some preparation prior to the session.

In using this technique, the process had to back up and clarify the objectives before proceeding. Using a cross-functional team of employees greatly increases the value of the process because it sheds light on how risks and objectives are correlated and how they can impact business units differently. Often in brainstorming sessions focused on risk identification, a participant may mention a risk only to have another person say: “Come to think of it, my area has that risk, and I have never thought of it before.” With the team sharing experiences, coming from different backgrounds, and having different perspectives, brainstorming can be successful in identifying risk. It is also powerful when used at the executive level or with the audit committee and/or board of directors.

B. **Event inventories and loss event data**. Providing participants with some form of stimulation on risks is especially important in a brainstorming session. One possibility is to provide an event inventory for the organization or a generic inventory of risks. Examples of the latter are readily available from various organization or other institutions. A general risk classification scheme is given that could also be used to “seed” the discussion. In a brainstorming session or facilitated workshop, the goal is to reduce the event inventory to those relevant to the organization and define each risk specific to the organization. The risk identification process can also be seeded by available loss event data. A database on relevant loss events for a specific organization or institution can stimulate a “fact-based discussion”.

C. **Interviews and self-assessment**. This technique combines two different processes. First, every one of the organizational or operating units is given a template with instructions to list the key strategies and/or objectives within his or her area of responsibility and the risks that could impede the achievement of the objectives. The completed documents are submitted to the ERM staff or coordinator, which could be the risk officer. That group follows up with interviews to clarify issues. Eventually, the risks for the unit are identified and defined. This technique might also be used in conjunction with a facilitated workshop.

D. **Facilitated workshops**. After the information is completed and collected, a cross-functional management team from the unit or from several units might participate in a facilitated workshop to discuss it. Using a voting system, the various risks can be ranked to arrive at a consensus of the top five to ten, for example.

E. **SWOT analysis**. SWOT (strengths-weaknesses-opportunities-threats) analysis is a technique often used in the formulation of strategy. The strengths and weaknesses are internal to the organization and include the organization's culture, structure, and financial and human resources. The major strengths of the organization combine to form the core competencies that provide the basis for the organization to achieve a competitive advantage. The opportunities and threats consist of variables outside the organization and typically are not under the control of senior management in the short run, such as the broad spectrum of political, societal, environmental, and industry risks.

For SWOT analysis to be effective in risk identification, the appropriate time and effort must be spent on thinking seriously about the organization's weaknesses and threats. The tendency is to devote more time to strengths and opportunities and give the discussion of weaknesses and threats short shrift. Taking the latter discussion further and developing a risk map based on consensus will ensure that this side of the discussion gets a robust analysis.

F. **Risk questionnaires and risk surveys**. A risk questionnaire that includes a series of questions on both internal and external events can also be used effectively to identify risks. For the external area, questions might be directed at political and social risk, regulatory risk, industry risk, economic risk, environmental risk, competition risk, and so forth. Questions on the internal perspective might address risk relating to primary and secondary customers, operations, processes, facilities, information systems, and so on. Questionnaires are valuable because they can help an organization think through its own risks by providing a list of questions around certain risks. The disadvantage of questionnaires is that they usually are not linked to strategy.

Rather than a lengthy questionnaire, a risk survey can be used. In our organization, surveys were sent to both lower- and senior-level management. The survey for lower management asked respondents to "List the five most important risks to achieving your unit's goals/objectives." The survey to senior management asked participants to "List the five most important risks to achieving the organization's strategic objectives." The survey instruments included a column for respondents to rank the effectiveness of management for each of the five risks listed, using a range of 1 (ineffective) to 10 (highly effective). Whether using a questionnaire or survey, the consolidated information can be used in conjunction with a facilitated workshop. In that session, the risks are discussed and defined further. Then interactive voting system is used to narrow that risk list to the vital few.

G. **Scenario analysis**. Scenario analysis is a particularly useful technique in identifying strategic risks where the situation is less defined and "what-if" questions should be explored. Essentially, this technique is one way to uncover risks where the event is high impact/low probability.

Using this technique, a cross-functional team could consider the long-term effects resulting from a loss of reputation or from the lack of capability to meet demand.

Another relevant question to ask is, “What paradigm shifts in the industry could occur, and how would they impact the organization?”

H. **Other techniques**. Other possible approaches for identifying risks include value chain analysis, system design review, process analysis, and benchmarking with other similar as well as dissimilar organizations. Also, external consultants can add value in the risk identification process by bringing in knowledge from other companies and industries and by challenging the organization’s list of identified risks.

Annex D
Introduction to ISO 31000 and COSO

A. **ISO 31000 Model:**

There are several different ways to carry out risk management. It remains a challenge for organizations to determine a suitable scheme or methodological approach that would best suit the management and allocation of resources for risk management. Among the various approaches and guides to risk management is the International Standards Organization (ISO) 31000. Overall, ISO 31000 provides detailed guidelines on the plan, implement, measure, and learn features of a risk management system. ISO 31000 includes all the required features of a management system standard, but with the emphasis on the 'Control and Develop' components. It provides important information for boards, so that they can define and fulfil their risk oversight responsibilities. These considerations include governance and culture; strategy and objective-setting; performance; information, communications, and reporting; and the review and revision of practices to enhance the performance of the organization.

ISO 31000 was originally published in 2009 and an updated version was published in February 2018. However, the overall purpose of ISO 31000 remains the same – integrating the management of risk into a strategic and operational management system. The 2018 version is very similar to the original version, but the following bullet points identify the main changes for the 2018 version of the guidelines:

- The principles of risk management have been reviewed, as these are the key criteria for successful risk management;

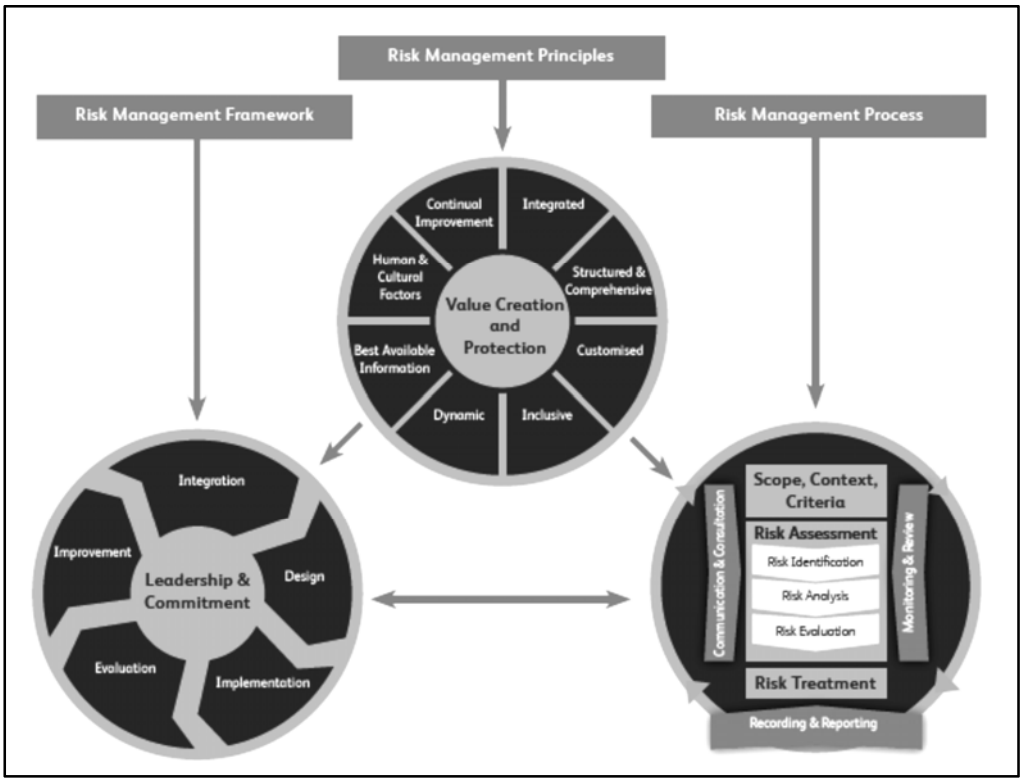
- The importance of leadership by top management is highlighted, as is the integration of risk management, starting with the governance of the organization;

- Greater emphasis is placed on the iterative nature of risk management, because new knowledge and analysis leads to revision of processes, actions, and controls; and

- The content is streamlined with greater focus on sustaining an open systems model to fit multiple needs and contexts.

ISO 31000 suggests that effective risk management is characterized by principles, framework, and process. It states that the guidelines should be used by people who create and protect value in organizations by managing risks, making decisions, setting, and achieving objectives and improving performance. The guidelines are applicable to all types and sizes of and relevant to all external and internal factors and influences. They also state that managing risk assists organizations in setting strategy, achieving objectives, and making informed decisions. Managing risk is part of governance and leadership and is fundamental to how organizations are managed at all levels. The overall structure and approach adopted by the 2018 edition of ISO 31000 is best illustrated by the diagram below. It also states that these principles and components might already exist in full or in part within an organization, but they might

need to be adapted or improved so that managing risk is efficient, effective, and consistent.

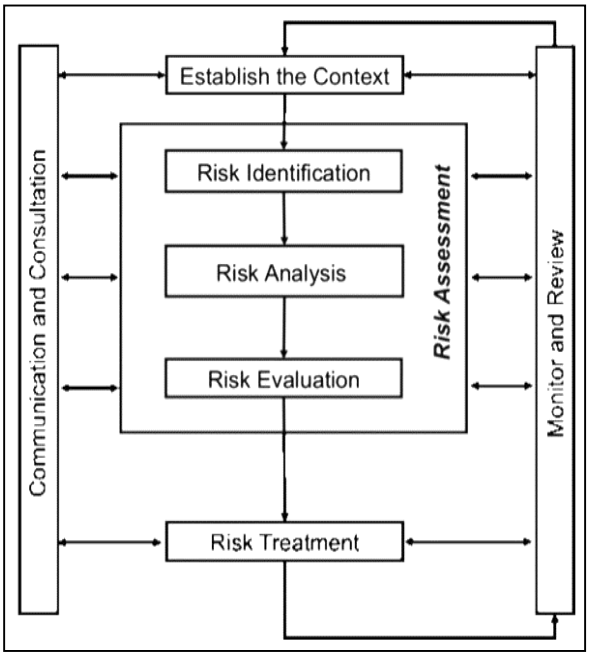


Principles, Frameworks, and Risk Management Process from ISO 31000

The figure displays the principles, process, and framework for risk management. ISO 31000 states that the purpose of risk management is the creation and protection of value. The principles set out in ISO 31000 provide guidance on the characteristics of effective and efficient risk management, communicating its value and explaining its intention and purpose. There are total of eight principles presented in the standard, as shown in the figure above.

The principles of risk management and the framework are closely related. The principle outlines what must be achieved, and the framework provides information on how to achieve the required integration. The ISO 31000 framework is centered on leadership and commitment. The effectiveness of risk management will depend on its integration into all aspects of the organization, including decision-making.

The guidelines provided in ISO 31000 include information, advice, and guidance on all the steps required to implement risk management and ensure continual improvement in performance. At the center of the risk management process are the activities of risk assessment and risk treatment. Risk assessment is described as having the three stages of risk identification, risk analysis and risk evaluation. The output of risk assessment becomes the input for risk treatment. Risk treatment is also a vitally important part of the risk management process and ISO 31000 provides information on the selection of risk treatment options, the preparation and implementation of risk treatment plans.



ISO 31000 Risk Management process

In this regard, the new representation of the risk management process in ISO 31000 is similar to the approach taken by the 2004 COSO publication *Enterprise Risk Management — Integrated Framework* (COSO ERM). The guidelines provided in ISO 31000 include information, advice and guidance on all the steps required to implement risk management and ensure continual improvement in performance.

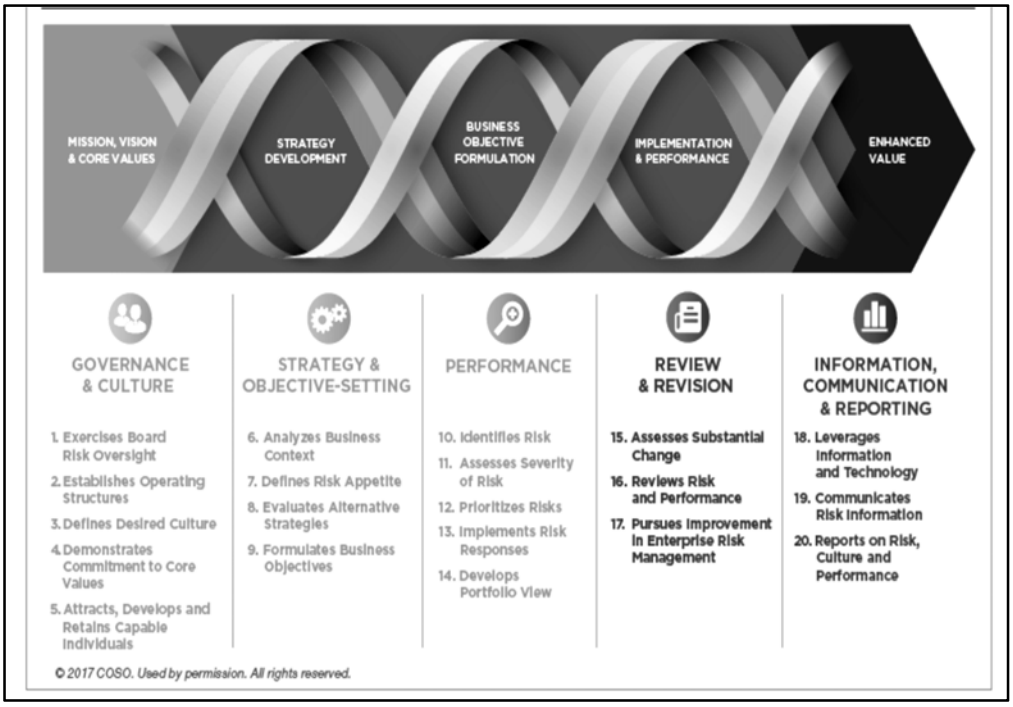
B. **The COSO Model:**

The Committee of Sponsoring Organizations of the Treadway Commission (COSO) is a joint initiative of the five private sector organizations dedicated to providing the leadership, executive management and government entities through the development of frameworks and guidance on enterprise risk management, internal controls and fraud deterrence. COSO has established common organizational internal control models upon which companies and other organizations can use to evaluate their internal control systems. The internal control model developed by COSO aims to provide a process whereby an enterprise's board of directors, management and staffs can provide a reasonable assurance on the achievement of its objectives.

The COSO model developed in 1992 has been widely accepted and adopted as a definitive standard against which organizations or entities measure the effectiveness of their systems of internal control. The COSO model looks at three categories namely: Operational effectiveness, Financial reporting reliability, and Applicable laws and regulations compliance. These components work to establish the foundation for a sound internal control within the organization. The various risks faced by the company are continually identified, routinely assessed, and control mechanisms proactively designed to address and mitigate the risks.

COSO's *Enterprise Risk Management—Integrating with Strategy and Performance* (COSO ERM Framework) defines risk as "the possibility that events will

occur and affect the achievement of strategy and business objectives." This includes both negative effects (such as a reduction in revenue targets or damage to reputation) as well as positive impacts (that is, opportunities – such as an emerging market for new products or cost savings initiatives).



COSO Enterprise Risk Management Framework

The five components in the updated Framework are supported by a set of principles. These principles cover everything from governance to monitoring. They're manageable in size, and they describe practices that can be applied in different ways for different organizations regardless of size, type, or sector. Adhering to these principles can provide management and the board with a reasonable expectation that the organization understands and strives to manage the risks associated with its strategy and business objectives. The Framework is organized into five interrelated components:

1. **Governance and Culture**: Governance sets the organization's tone, reinforcing the importance of, and establishing oversight responsibilities for, enterprise risk management. Culture pertains to ethical values, desired behaviors, and understanding of risk in the entity.

2. **Strategy and Objective-Setting**: Enterprise risk management, strategy, and objective-setting work together in the strategic-planning process. A risk appetite is established and aligned with strategy; business objectives put strategy into practice while serving as a basis for identifying, assessing, and responding to risk.

3. **Performance**: Risks that may impact the achievement of strategy and business objectives need to be identified and assessed. Risks are prioritized by severity in the context of risk appetite. The organization then selects risk responses and

takes a portfolio view of the amount of risk it has assumed. The results of this process are reported to key risk stakeholders.

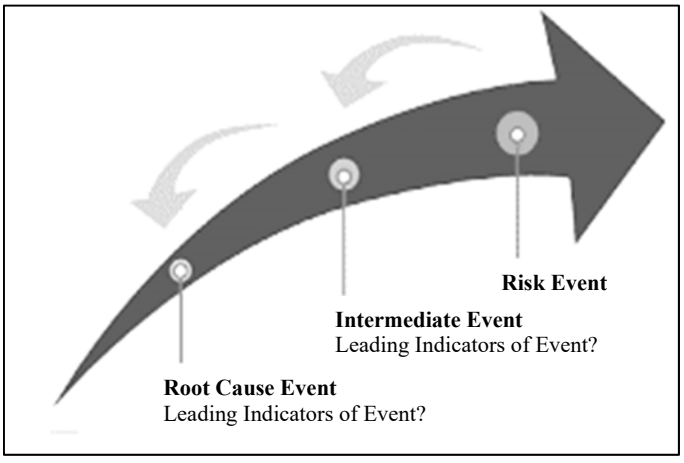
4. **Review and Revision**: By reviewing entity performance, an organization can consider how well the enterprise risk management components are functioning over time and considering substantial changes, and what revisions are needed.

5. **Information, Communication, and Reporting**: Enterprise risk management requires a continual process of obtaining and sharing necessary information, from both internal and external sources, which flows up, down, and across the organization.

According to the COSO ERM Framework, the objective of risk identification is to determine the risks that could interrupt operations and affect the reasonable expectation of achieving the entity's strategy and business objectives or materially impact the entity's license to operate (including reputational issues). Identifying opportunities should be a key part of the risk identification process. COSO defines opportunities as the actions or potential actions that create or alter goals or approaches for creating, preserving, and realizing value.

Some aspects to consider when identifying and defining risks include:

- What is the nature of the risk?
- What is the source of the risk?
- What is the root cause of the risk?
- Why is the issue relevant to the business?
- Which business decisions may be impacted by the risk?
- What will be improved or enhanced by addressing the risk?



Leading Indicators of Risk Event Diagram

Figure above depicts an effective method for developing KRIs by analyzing a risk event that has affected the organization and then working backwards to pinpoint intermediate and root cause events that led to the lost opportunity. KRIs are an important tool that provides us with an early warning to identify potential events that may harm the continuity or achievement of an activity/ program or objective.

When identifying risks, practitioners should aim to precisely describe each risk. The risk description should focus on the risk itself, rather than calling out a general issue (e.g., climate change), the root cause of the risk, the potential impacts of the risk or the effect of the risk response being poorly implemented. In accordance with COSO, precise risk identification enables the organization to:

- More effectively manage the risk inventory and understand its relationship to the business strategy, objectives, and performance
- More accurately assess the severity of a risk in the context of business objectives
- Identify root causes and impacts and therefore select the most appropriate risk responses
- Understand interdependencies between risks and across business objectives
- Reduce the “framing bias” that can occur when a risk is framed to focus on either the potential upside or downside
- Aggregate risks to produce the risk portfolio

Glossary

Control
Are measures that are modifying risk. It includes any process, process, device, practice, or other actions which modify risk.

Consequence
The outcome of an event expressed qualitatively or quantitatively, being a loss, injury, disadvantage or gain. There may be a range of possible outcomes associated with an event.

Enterprise Risk Management
Is a plan-based business strategy that aims to identify, assess, and prepare for any dangers, hazards, and other potentials for disaster both physical and figurative that may interfere with an organization's operations and objectives. Methods and processes used by organizations to manage upside or downside risks. ERM provides a framework for risk management, which typically involves identifying events or circumstances relevant to the organization's objectives, assessing them in terms of likelihood and cost of consequences, determining a response strategy, and monitoring progress. By identifying and proactively addressing risks and opportunities, business enterprises protect and create value for all their stakeholders.

Event
An incident or situation, which occurs in a particular place during a particular interval of time.

Frequency
A measure of the rate of occurrence of an event expressed as the number of occurrences of an event in a given time.

Hazard
A source of potential harm or a situation with a potential to cause a loss.

Likelihood
Used as a qualitative description of probability or frequency.

Mitigation
Measures and activities implemented with the goal of reducing the hazard (probability of occurrence).

Probability
A measure of the likelihood of an event, expressed with numerical values ranging from 0 to 1, where 0 represents impossibility and 1 certainty. Probability is often interpreted as a subjective degree of belief. Many assessment methods rely on subjective probabilities. These probabilities are determined by employing the expert opinion of an individual or a consensus of highly qualified professionals. The likelihood of a specific event ot outcome, measured by the ratio of specific events or outcomes to the total number of possible events or outcomes.

Risk
It is an effect of uncertainty on objectives. It can be positive, negative or both, and can address, create, or result in opportunities and threats.

Risk Appetite
The amount of risk that an organization is willing to pursue or retain.

Risk Category
Are made up of risk causes that fall into common groups. These groups can include risks such as policy, process, and people risk.

Risk Control
The process of deciding on measures to control risks, and monitoring the results of implementation. Risk control utilizes findings from risk assessments. Risk control can answer the question, what can be done to reduce the risk?

Risk Culture
It is a term describing the values, beliefs, knowledge, attitudes and understanding about risk shared by a group of people with a common purpose. This applies to all organizations including private companies, public bodies, governments, and not-for-profits.

Risk Evaluation
The process of determining the acceptable risks. There are upper and lower limits (or thresholds) to risk that need to be defined before risk control can take place. These thresholds are often influenced by society's level of accepted risk.

Risk Management
Is the creation and protection of value. It improves performance, encourages innovation, and supports the achievement of objectives. Principles include the requirement for the risk management initiative to be (1) customized; (2) inclusive; (3) structured and comprehensive; (4) integrated; and (5) dynamic.

Risk Treatment
The process of selecting and implementing of measures to modify risk. Risk treatment measures can include avoiding, optimizing, transferring, or retaining risk.

Risk Register
Record of information about identified risk.

Risk Profile
The description of any set of risk.

Risk Scenario
Are verbal picture of a phenomenon, sequence of events, or situation, based on certain assumptions and factors chosen by its creator. Scenarios are used in estimating the probable effects of one or more variables and are an integral part of situation analysis and long-range planning.

Root Cause Analysis
Encompasses methods aimed at identifying the root causes of problems or events. RCA users believe that problems are best solve by attempting to correct or eliminate root causes, as opposed to addressing the symptoms. By directing corrective measures at root causes, it is hoped that the likelihood of problem recurrence will be minimized.

Abbreviation and Acronym list

AFP	Armed Forces of the Philippines
AGP	Army Governance Pathway
AGSMO	Army Governance and Strategy Management Office
APB	Annual Plans and Budget
ATR	Army Transformation Roadmap
BSC-HOF	Balanced Scorecard- Hall of Fame
COA	Course of Action
CONOPS	Concept of Operations
COSO	Committee of Sponsoring Organizations
CSR	Corporate Social Responsibility
DAS	Defense Acquisition System
DBM	Department of Budget and Management
DCAPS	Defense Capability Assessment and Planning System
DRMS	Defense Resource Management System
DRRM	Disaster Risk Reduction and Management
DSOM	Defense System of Management
DSPS	Defense Strategic Planning System
ERM	Enterprise Risk Management
FRAGO	Fragmentary Order
FREM	Functions, Resources, Expectations, Messages
IGO	International Government Organizations
IHL	International Humanitarian Law
IIA-P	Institute of Internal Auditors - Philippines
ISA	Institute of Solidarity in Asia
ISO	International Standard Organization
KPI	Key Performance Indicator
KRI	Key Risk Indicator
LCE	Local Chief Executive
LGU	Local Government Unit
LMC	Landpower Maneuver Concept
LOE	Lines of Effort
LOO	Lines of Operation
MDMP	Military Decision Making Process
METT-TC	Mission, Enemy, Terrain and Weather, Troop and Equipment, Time, Civil Consideration
MSAB	Multi-Stakeholder Advisory Group
NDCC	National Disaster Coordinating Council
NGO	Non-Government Organizations
OCCOKA	Obstacles, Concealment, Cover, Observation, Key Terrain, Avenues of Approach
OPORD	Operation Order
OPR	Office with Primary Responsibility
PA	Philippine Army
PAMU	Philippine Army Major Unit
PARM	Philippine Army Risk Management
PESTELM	Political, Economics, Social, Technological, Environment, Legal, Military
PGS	Performance Governance System

PI	Probability-Impact
PPE	Personal Protective Equipment
PREX-C	Program Expenditure Classification
PWET	People, Weather, Enemy, Terrain
RM	Risk Management
RTP	Risk Treatment Plan
SEMP	Strategy Execution Management Process
SFADC	Suitability, Feasibility, Acceptability, Distinguishability, Completeness
SMP	Strategy Management Philosophy
SMS	Strategy Management System
SOP	Standard Operating Procedure
SWOT	Strength, Weakness, Opportunities, Threats
TD	Territorial Defense
TLP	Troop Leading Procedure
TTP	Tactics, Techniques, Procedures
VUCA	Volatile, Uncertain, Complex, Ambiguous
WARNO	Warning Order
XPP	Executive Premium Process

References

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2006 US Risk Management Guide for DOD Acquisition

2014 US Army Risk Management Publication (ATP 5-19)

2017 Approved PA ERM Letter Directive

2017 COSO ERM Integrating with Strategy and Performance Report

2017 PA Risk Management Workshop

2018 IRM Risk Practitioner Guide to ISO 31000

2019 PA Safety Policy

https-//youtu.be/P-03Nlie3ck (What is ERM?)

Youtu.be/W9hUFpt-tac (Importance of Risk Management)